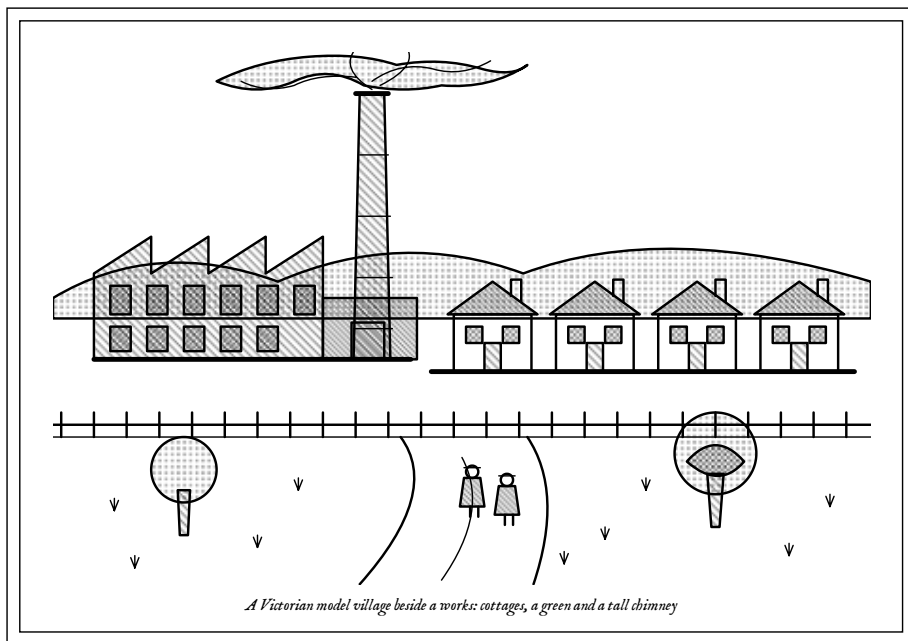




CHAPTER III

Objectives of Business and What Makes It Succeed

If profit is the point of a business, why would a shop give books away?



This chapter explains why a business exists and what aims it sets for itself. It separates economic, social and human aims and shows how a business balances them. It then describes what a business needs in order to last: planning, goodwill and sound finance. The bookshop Meghna and Sons supplies the case file.

AN ELEMENTARY TREATISE ON BUSINESS



Being a First Course in the Forms, Duties and Dealings of Commerce

T. TIR, A. NILL

REVIEW QUESTIONS

- 2.1 Name the factor and the reward for each income: a landlord who lets a shop room; a shop assistant paid each month; a person who lends money to a business and is repaid with extra; an owner who keeps what remains after all costs.
- 2.2 Explain why enterprise differs from labour, using Nurul Meghna and a member of the shop's staff.
- 2.3 Compare two shops. Shop A is a street stall with a hand cart. Shop B is a supermarket with shelves, scanners and many staff. Which factors weigh most in each?
- 2.4 A farmer rents a field, hires two helpers, buys a tractor and decides which crop to grow. Name each factor and its reward.
- 2.5 A trader buys cloth from a supplier and sells it to customers. Give one example of each of the four factors for this trader.
- 2.6 Using the paper-bag example, explain division of labour and name one cost of it.

The owner often has a choice of mix. A machine, which is capital, may do the work of several workers, who are labour. Each choice changes the rewards that must be paid. The machine brings a cost of purchase or interest and no wages; workers bring wages. The owner, who supplies enterprise, carries the risk of choosing wrongly.

Factors also differ in how easily they move from one use or place to another. This is called their mobility. The table below introduces the four in words first: land cannot move at all, labour moves with effort, capital moves easily if it is money and slowly if it is a machine, and enterprise moves when a person starts a different business. Read each row as a factor and how freely it moves.

HOW EASILY EACH FACTOR MOVES

FACTOR	HOW EASILY IT MOVES	EXAMPLE
Land	It cannot move, although its use can change	A plot changes from farm to shop
Labour	It moves with effort, training and cost	A worker moves to another city
Capital	Money moves easily; machines move slowly	A loan goes to a new business
Enterprise	It moves when a person starts again	A baker opens a second business

Before moving on. Every business combines all four factors, in a mix that suits its work. An owner may choose a different mix, such as a machine instead of workers, and each choice carries different rewards and risks. Factors differ in mobility. You should now be able to say why no business can do without any one factor.

A WORKED CASE: SORTING THE SHOP'S FIGURES

Case file, illustrative. In 2025 Meghna and Sons used rented shop space of 900 square feet at Tk 60,000 a month; 7 staff with total wages of Tk 2,940,000; stock of Tk 3,500,000 and fittings of Tk 600,000; and Nurul Meghna as owner, with a profit of Tk 750,000.

Question. Name the factor behind each item, give its reward, find the yearly rent for each square foot, and find the average wages for each member of staff.

Reasoning, part one. The rented space is land, and its reward is rent: $12 \text{ months} \times \text{Tk } 60,000 = \text{Tk } 720,000$. Rent for each square foot is $\text{Tk } 720,000 \div 900 \text{ square feet} = \text{Tk } 800$ a year. The 7 staff are labour, and their reward is wages of Tk 2,940,000. Average wages are $\text{Tk } 2,940,000 \div 7 = \text{Tk } 420,000$ for each member of staff.

Reasoning, part two. Stock and fittings are capital: $\text{Tk } 3,500,000 + \text{Tk } 600,000 = \text{Tk } 4,100,000$. The case file gives no separate figure for interest. Nurul Meghna, who organises the shop and accepts the risk, supplies enterprise, and the reward is the profit of Tk 750,000. Rent and wages were agreed in advance, but the profit was whatever remained.

Conclusion. Land earned rent of Tk 720,000, labour earned

An owner can often choose between factors, such as a machine instead of workers.

Factors differ in how easily they move from one use or place to another.

Section 2.4 ends with a recap and a sentence the reader can test.

The worked case applies the four factors to the shop's 2025 figures.

The question asks for each factor, its reward and one calculation each for land and labour.

Steps one and two sort the land and labour figures and calculate.

Steps three and four sort the capital and enterprise figures.

The conclusion names each

© 1728 T. Tir, A. Nill

This work is free for all. Anyone may copy, edit, print, sell, translate or otherwise use it in any way they please, without asking leave or paying a fee.

First edition

MEHUMOMO PUBLISHINGS ESTABLISHED 1728

The third factor is **capital**. Capital means man-made goods and money used to produce other goods, such as machines, tools and stock. Stock, in this sense, means the goods a business holds ready for sale; for the bookshop, it is the books on its shelves. A kettle is capital. So are a shop's shelves, a baker's oven, a lorry, and the money used to buy such things. Nature gave us land; people made capital.

PAUSE AND CHECK 2.P1 A tea seller owns a kettle, draws water from a river, and stands on a corner of pavement. Which of these three is capital, and which are land?

The reward of capital is interest. Interest is the payment made to the provider of capital for letting the business use it for a period. A small example shows the idea. If a person lends a business Tk 1,000 for a year and is repaid Tk 1,050, the extra Tk 50 is interest. Interest, like rent and wages, is agreed in advance.

Case file, illustrative. In 2025 the factor capital at Meghna and Sons was stock of Tk 3,500,000 plus fittings of Tk 600,000, a total of Tk 4,100,000. The case file gives no separate figure for interest.

Many students believe that capital means money only. The definition shows otherwise: shelves, tools and stock are capital even though they are not cash. Money counts as capital when it is used to buy such goods or to let a business operate. A second point: when owners use their own money, they often pay interest to nobody, and the reward of that capital is then usually counted inside profit.

The fourth factor is **enterprise**. Enterprise means the act of organising the other factors and accepting the risk of loss in the hope of profit. The tea seller who chooses the corner, buys the kettle, hires a helper and accepts that some days nobody may buy is practising enterprise. This person stands to lose money if the plan fails. Some writers also call a business an enterprise, a firm or a concern. In this book, business names the organisation, and enterprise names this factor only.

The reward of enterprise is profit. Profit is different from the other three rewards because it is not agreed in advance. It depends on how the year goes: it may be large, small, or a loss. This is why enterprise differs from labour. A member of staff receives wages even in a poor year. The person who supplies enterprise receives a reward only if something remains.

Now we can answer the question left open in section 2.2. An owner who serves customers all day gives labour, and the reward for that work is wages. The same owner who organises the shop and accepts the risk gives enterprise, and the reward is profit. One person can supply both factors. Each factor still earns its own kind of reward, and we keep the two apart.

Case file, illustrative. In 2025 the factor enterprise at Meghna

GO SLOWLY HERE.

Capital is man-made goods and money used to produce other goods.

Capital. Man-made goods and money used to produce other goods, such as machines, tools and stock.

Capital. Word in use. In daily life, capital can mean the chief city of a country, or any large sum of money. In this subject, capital means man-made goods and money used to produce other goods.

Capital earns a reward called interest, paid for the use of money or goods.

The shop's capital in 2025 was stock plus fittings.

Capital is not only money, and an owner's own money earns its reward inside profit.

The fourth factor is the act of organising the business and accepting the risk of loss.

Enterprise. The act of organising the other factors and accepting the risk of loss in the hope of profit.

The reward of enterprise is profit, which is not agreed in advance and may become a loss.

One person can supply two factors, and each factor earns its own reward.

The shop's enterprise in 2025

The first factor is **land**. Land means all natural resources a business uses, including ground, water, minerals and forests. The tea stall uses land twice: the spot where customers stand, and the water drawn from nature. A brickworks uses more, because it digs clay from the earth. The key feature of land is that nature provided it. No person made the river or the clay, although people may carry the water or dig the clay.

Every factor has a reward. A reward is the payment that the provider of a factor receives when a business uses it. For land, the reward is rent. Rent is the payment made to the person who lets a business use land or space. If the tea seller rents a corner from a landlord, the monthly payment for that corner is rent. Rent is agreed in advance, and the business pays it in a good year and in a poor year.

Case file, illustrative. In 2025 the factor land at Meghna and Sons was the rented shop space of 900 square feet in Dhanmondi, Dhaka. The rent was Tk 60,000 a month, which is Tk 720,000 for the year. Rent is therefore the reward of land in this case file.

Many students find this point confusing, because a shop is a building, and people make buildings. Economists separate the ground from the building on it. Strictly, ground, water and minerals are land, while a building is made by people and belongs with a later factor in this chapter. In this case file we count the rented shop space as land, because the shop pays one rent for the space in that place. Keep the strict meaning in mind and the confusion disappears. A second limit is that nature supplies a limited amount of land, so good locations are scarce.

Before moving on. A factor of production is a resource used to make goods or provide services. Land, the first factor, is every natural resource a business uses, and its reward is rent. A building is strictly not land. You should now be able to say, in one sentence, what land is and what it earns.

2.2 LABOUR

You may already know this factor from your own life. Suppose you help in a relative's shop on Friday afternoons, and at the end of the week the relative pays you. You have given time and effort to a business, and you have received a payment for it. The shop could not serve its customers as well without you. This is the second factor in its simplest form.

The second factor is **labour**. Labour means the physical and mental work people give to a business, paid for with wages. A shop assistant who lifts a heavy box of books gives physical work. An assistant who advises a customer which novel to choose gives mental work. Most jobs contain both. Labour covers every kind of work done for a business, from carrying boxes to keeping the

The first factor is land: every natural resource a business uses.

Land. All natural resources a business uses, including ground, water, minerals and forests.

Land. Word in use. In daily life, land often means a plot of ground that a person owns. In this subject, land means every natural resource a business uses, including water, minerals and forests.

Every factor earns a reward; the reward of land is rent.

The shop's rent in 2025 shows land and its reward in figures.

Strictly, buildings are not land, and nature supplies a limited amount of land.

Section 2.1 ends with a recap and a sentence the reader can test.

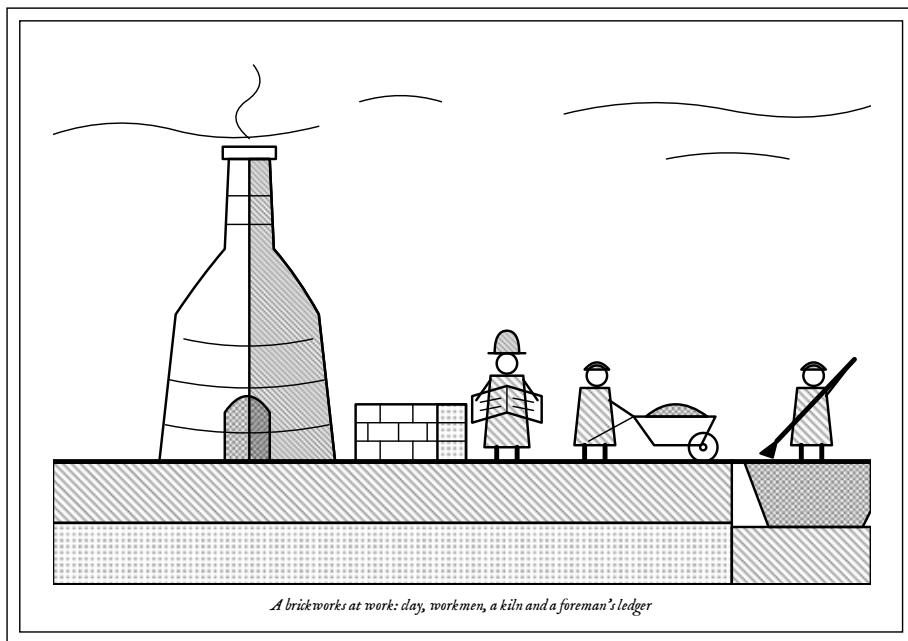
Most readers already know the second factor from their own experience of work.

GO SLOWLY HERE.

Labour is the work people give a business, whether of the body or of the mind.

Labour. The physical and mental work people give to a business, paid for with wages.

11.2 Forms of State Enterprise	103
11.3 Judging State Enterprise	105
11.4 Comparing All the Forms	106
XII. FOREIGN TRADE	111
12.1 Why Nations Trade	112
12.2 Measuring Foreign Trade	114
12.3 Regulating Trade	115
XIII. EXPORT AND IMPORT PROCEDURE	121
13.1 Export Procedure	122
13.2 Import Procedure	124
13.3 Documents of Foreign Trade	125
13.4 Barriers and Promotion	127
XIV. MULTINATIONAL CORPORATIONS	131
14.1 What a Multinational Is	132
14.2 Why Multinationals Exist	135
14.3 Effects on a Developing Country like Bangladesh	136
XV. INSTITUTIONS THAT PROMOTE BUSINESS IN BANGLADESH	141
15.1 The Share Market	142
15.2 The Regulator and the Exchange	144
15.3 Bodies for Trade and Industry	146
XVI. BUSINESS COMBINATION AND INTEGRATION	151
16.1 Why Firms Combine	152
16.2 Forms of Combination	154
16.3 Horizontal and Vertical Integration	156
GLOSSARY	161
ANSWERS TO QUESTIONS	169
FURTHER READING	181
INDEX	183



CHAPTER II

Factors of Production

How many different things must be gathered before one book is sold?



Every business, large or small, needs the same four kinds of resource, and each kind earns its own kind of payment. This chapter names the four, shows what each one earns, and explains how a business brings them together. We follow one bookshop in Dhaka through 2025 and visit a famous factory in Michigan.

Step four. We choose the branch. The shop does not take materials from nature, does not make goods and does not build. A shop assistant who helps a customer choose a book gives a small service, but customers pay mainly for the book. The main activity is therefore trade, with services around it.

Conclusion. Meghna and Sons is in trade, inside commerce, and it uses three aids to trade. *Check.* Does the shop fit the definition of business? It is an activity, regular since 4 April 1996. It provides goods, books and stationery, to others, schoolchildren, families and libraries. It receives money, sales of Tk 14,400,000. It aims at profit and earned Tk 750,000 in 2025. All four parts hold.

IN SHORT

To classify an activity, ask three questions: does it make or change goods, does it buy and sell goods, or does it help goods move to customers?

* * *

SUMMARY

Business is an activity that provides goods or services to others in exchange for money, aiming to earn a profit. Profit is income less all costs, and a loss is the reverse. Trade is buying and selling goods. Commerce is trade together with its aids. Industry produces or changes goods and has extractive, manufacturing and construction forms. Service is work done for a customer. Business is regular, risky, aimed at profit and driven by customers' needs.

THINK IT THROUGH

Reason from the definitions, and write your conclusion in a few sentences.

1.T1 A tailor makes shirts to order for individual customers. The tailor wants to grow by buying ready-made shirts from a factory and selling them in a second shop. Describe which branches of business are involved before and after the change.

1.T2 A bakery has a bad year, and its costs are greater than its income. Is it still a business? Use the definition and the word "aiming" in your answer.

WHERE PEOPLE GO WRONG

Some students think profit is all the money a business receives. It is not. Income is the money received. Profit is what remains after all costs are paid. In 2025 the shop's income was Tk 14,400,000, but its profit was Tk 750,000.

Some students treat trade and commerce as two separate groups. Commerce contains trade and adds the aids to trade. Every trader belongs to commerce, but not everything in commerce is

Step four: the shop mainly sells goods, so its branch is trade and none of the four industry branches.

Conclusion and check: trade within commerce, and each part of the definition of business holds.

The chapter in a few lines.

Two problems apply the chapter to new situations.

Mistake one: confusing profit with income.

Mistake two: treating trade and commerce as equals.

This chapter needs no earlier knowledge, only your own experience of buying and selling.

A puzzle: you made almost nothing that you use, yet all of it reached you.

Many people worked to bring one shirt to you.

The puzzle: why do strangers work for you and then sell you the result?

The answer is an arrangement in which each person does one kind of work and depends on others for the rest.

The book marks new words, gives recaps and asks pause questions; slow going at first is normal.

Case-file paragraphs describe one invented bookshop whose facts stay the same in every chapter.

Two neighbours swap what each has in excess; the swap is exchange.

GO SLOWLY HERE.

An exchange is giving something to receive

You will need: nothing. This chapter begins at the beginning. It assumes only that you have bought and sold things in daily life.

Look at what you are wearing and holding at this moment. Perhaps there is a shirt, a pen, a phone and a cup of tea. Now ask a harder question: how many of these did you make yourself? For almost every reader, the honest answer is none.

Yet every one of these things reached you. Someone grew the cotton for the shirt. Someone spun it into thread, wove the thread into cloth and sewed the cloth into a shirt. Someone carried the shirt to a shop. Someone in the shop handed it to you, and you handed over money in return.

Here is the puzzle. Dozens of people worked to produce that shirt, and not one of them knew you. Why did they not keep the shirt for themselves? Why does a stranger spend days of work on something and then give it to you for a few notes and coins?

The answer is not kindness, although kindness exists. The answer is an old and very useful arrangement between people. Each person does one kind of work well, and each person depends on others for everything else. The arrangement has a name, and that name is the subject of this book. Section 1.1 begins with its simplest form: two neighbours and a bag of rice.

A word about how to use this book. A new word appears in heavy type the first time it is used, and a plain definition follows at once. The same definition is repeated in a short note beside the text and again in the glossary. Each section ends with a short recap that begins with the words *Before moving on*. Questions marked Pause and check let you test yourself before you continue. Many students find the first chapters slow, because every word is new. That is normal, and the book goes slowly on purpose. A note in the margin that reads Go slowly here marks the places where it takes most care.

Paragraphs that begin with the words *Case file, illustrative*, describe one bookshop, Meghna and Sons, in Dhanmondi, a district of Dhaka, the capital of Bangladesh. The shop is an example made for this book. Its dates and figures are kept as in a file of records, and they are the same in every chapter.

* * *

1.1 WHY PEOPLE DO BUSINESS

Imagine a village with two neighbours. One is a farmer whose field gave more rice than her family can eat. The other is a fisher whose boat brought more fish than his family can eat. Each has something extra, and each lacks something. The farmer has no fish, and the fisher has no rice. They agree to swap: 2 kg of rice for 1 kg of fish.

This swap is an example of exchange. An exchange happens when one person gives something to another person and receives something in return. Swapping one thing for another without using money has a special name, *barter*. Barter still exists today in some local markets, but it is slow, as the next paragraph shows.

The second branch changes materials into goods that people can use. **Manufacturing industry** is business that turns materials into finished goods by making or assembling them. Making means shaping materials, as a potter shapes clay or a mill spins cotton into thread. Assembling means joining ready-made parts, as a workshop joins wheels, frame and chain to form a bicycle. The potter, the paper mill, the garment factory and the printing press all belong to manufacturing industry.

The third branch is construction. Construction is the building of structures that stay where they are built, such as houses, schools, roads and bridges.² It uses materials from the other two branches, for example bricks, steel and cement, and joins them on the site. The builder who lays the school wall is in construction.

The fourth branch is the most varied. A **service** is work done for a customer that gives value but is not a physical thing owned afterwards, such as banking or teaching. The teacher in our morning example provides a service. So do the doctor, the bank clerk, the barber and the driver. The aids to trade in section 1.2 are all services. That is why the tree places them under service, and why commerce, shown by the dashed line, joins trade to those aids.

The next table compares goods with services. Read each row as a question asked about the same two kinds of output.

GOODS AND SERVICES COMPARED

QUESTION	GOODS	SERVICES
What does the customer receive?	A physical thing	Work done for the customer
Does the customer own something afterwards?	Yes	No
Example	A bicycle	Repairing a bicycle
Another example	A school uniform	Teaching

Real businesses often supply both. A restaurant provides food, which is a good, and serving at the table, which is a service. When a business supplies both, ask what the customer mainly pays for, and classify by that answer. The restaurant is mainly selling meals; a hospital is mainly selling care.

Before moving on. Extractive industry takes materials from nature. Manufacturing industry makes or assembles finished goods. Construction builds fixed structures. Service is work done for a customer, and the aids to trade belong to it. You should now be able to name the four branches and to give one example of each.

* * *

² Some writers place construction inside manufacturing. This book lists it as a separate branch, because its product is fixed in one place and is not carried to customers.

Manufacturing industry turns materials into finished goods by making or assembling them.

Manufacturing industry. Business that turns materials into finished goods by making or assembling them.

Construction builds structures that stay where they are built.

A service is work done for a customer; the customer owns no physical thing afterwards.

Service. Work done for a customer that gives value but is not a physical thing owned afterwards, such as banking or teaching.

Service. Word in use. In daily life, a service can be a religious ceremony, a bus route or polite help in a shop. In business, a service is work done for a customer.

A table compares goods and services using new examples.

Many businesses supply both, so we classify by what the customer mainly pays for.

Recap: four branches, with goods and services distinguished.

The shop's 2025 figures show profit with real-sized numbers.

The figure below shows business as a cycle: resources in, goods and services out, money back.

the opposite of a profit: it happens when costs are greater than income. This is why the definition says "aiming to earn a profit". Aiming is not the same as earning.

Case file, illustrative. Meghna and Sons, a family-run bookshop in Dhanmondi, Dhaka, was opened on 4 April 1996 by its owner, Nurul Meghna, with Tk 400,000. The owner is the person who owns the business; people also say proprietor, but this book uses owner. In 2025 the shop's income from sales was Tk 14,400,000. Its costs were purchases Tk 9,800,000, rent Tk 720,000, wages Tk 2,940,000 and other costs Tk 190,000, a total of Tk 13,650,000. Profit for 2025 was Tk 14,400,000 - Tk 13,650,000 = Tk 750,000.

Everything in this section can be drawn as one cycle. To read the figure, begin at the left and follow the arrows. Solid arrows show goods, services and resources. Dashed arrows show money. The business takes in resources, such as workers, materials and a building. It uses them to provide goods or services. Customers receive these and pay money. Part of the money pays for new resources, and the cycle begins again. Any money left after all costs is the profit.

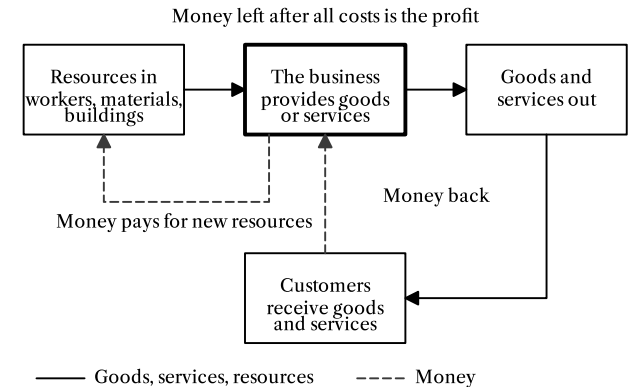


FIG. 1.1. *The business cycle: resources go in, goods and services go out, money comes back*

Before moving on. People exchange because each has needs and each has something extra. Business is exchange made into a regular occupation: it provides goods or services to others for money and aims at profit. Profit is income less costs; if costs are higher, the result is a loss. You should now be able to say, in one sentence, what a business is and what profit means.

* * *

1.2 TRADE, COMMERCE AND INDUSTRY

Pick up a schoolbook from any shelf. Before it reached the shelf, it passed through many hands. Someone cut the trees that gave the wood pulp for the paper. Someone made the paper, and someone printed the words and bound them. A dealer carried the finished

Recap: exchange, business, profit and loss.

A puzzle: many different kinds of work stand behind one schoolbook.

fairly claim that its only duty is to itself. This is why social responsibility matters.

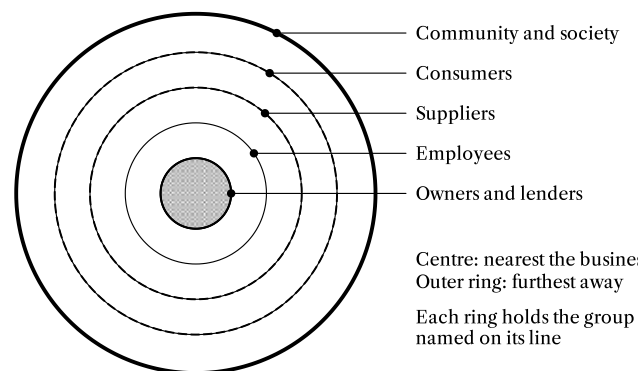
A second argument concerns the business itself. A firm that is known for honest dealing earns the trust of its customers, and that trust is its goodwill. A firm that harms others may lose customers, suffer fines or lose its licence to trade. The effect on survival can be serious. Responsible conduct is therefore not only a gift to society; it often protects the business too. It takes time to build, and it can be lost in a day.

The idea has opponents, and a fair account must state their case. Some argue that the duty of a business is to earn profit for its owners within the law, and nothing more. They say that owners, not managers, should decide how to spend profit on good works, and that a manager who spends the money of others on social aims is spending what is not his. They also say that a business which tries to solve every social problem will neglect its real work. Governments, they say, exist to care for society.

Defenders of social responsibility answer in three ways. First, many responsible acts also improve the business, as the argument about goodwill showed. Second, the law cannot foresee every case, as the shop owner's cough syrup shows. Third, a business that ignores society invites stricter laws, which cost it more in the end. Most modern writers hold a middle position: a business must first obey the law and stay alive, and then do what it reasonably can for others, in proportion to its size and its means.

PAUSE AND CHECK 6.P1 State one argument for and one argument against the view that a business should spend money on social aims.

Now we read a sketch of the groups to whom a business owes duties. It is a set of circles, each inside a larger one, like the rings that spread when a stone falls into water. The smallest circle in the centre stands for the owners and lenders, the people nearest to the business. Each larger circle stands for a wider group, and the largest stands for society as a whole. The labels name the groups. A circle further from the centre is not less important; it is only further from the daily work.



Responsible conduct also builds goodwill and helps the business to survive.

Not every thinker agrees that business should carry social duties.

The case against is serious, but the case for answers part of it.

The sketch shows the groups a business owes duties to, from the centre outward.

This chapter builds on profit from Chapter 1 and on capital from Chapter 2.

A puzzle: the shop wrote down four aims for 2026, and only one is about profit.

The fourth aim costs the shop money and brings in nothing directly.

The puzzle: if business aims at profit, why write down aims about training and gifts?

The chapter answers in three steps: why profit matters, what other aims exist and what a business needs to last.

A household shows what a good plan looks like: an amount, a time and a purpose.

Recall: profit, Chapter 1, 'What Business Is', section 1.1 'Why People Do Business'.

GO SLOWLY HERE.

An objective is a clear aim to be reached within a stated time.

Objective. A clear aim that a business tries to reach within a stated time.

Objective. Word in use. In daily life, "objective" can mean fair and free of personal feeling, as in an objective report. In business, an objective is an aim.

An economic objective is an aim measured in money, such as profit, sales or market share.

Economic objective. An aim

You will need: Chapter 1, 'What Business Is', section 1.1 'Why People Do Business', where profit is defined; and Chapter 2, 'Factors of Production', section 2.3 'Capital and Enterprise', where capital and enterprise are taught.

Case file, illustrative. Meghna and Sons wrote down four aims for 2026. First, raise profit from Tk 750,000 to Tk 900,000. Second, supply 12 schools' libraries; in 2025 it supplied 4 schools. Third, train 7 staff in customer service, for 14 hours each. Fourth, give 200 books a year to a school library.

Read the four aims slowly. The first aim raises profit directly. The second aim adds to the shop's customers. The third uses 14 hours of each staff member's time. The fourth is the strangest. The shop will give away 200 books that it has bought, and it will receive no money for them.

In Chapter 1 we learned that a business aims at profit. Here is the puzzle. If profit is the point, why does the shop write down aims about training and gifts? Is the shop careless with its money? Or does it understand something about business that the definition alone does not show?

This chapter answers in three steps. Section 3.1 explains why profit matters. Section 3.2 explains the other aims and how they fit with profit. Section 3.3 explains what a business needs in order to last, because an aim is useless to a business that does not survive. Many students find this chapter slow, because aims and good names cannot be touched. For that reason, every idea here is tied to a number or an example.

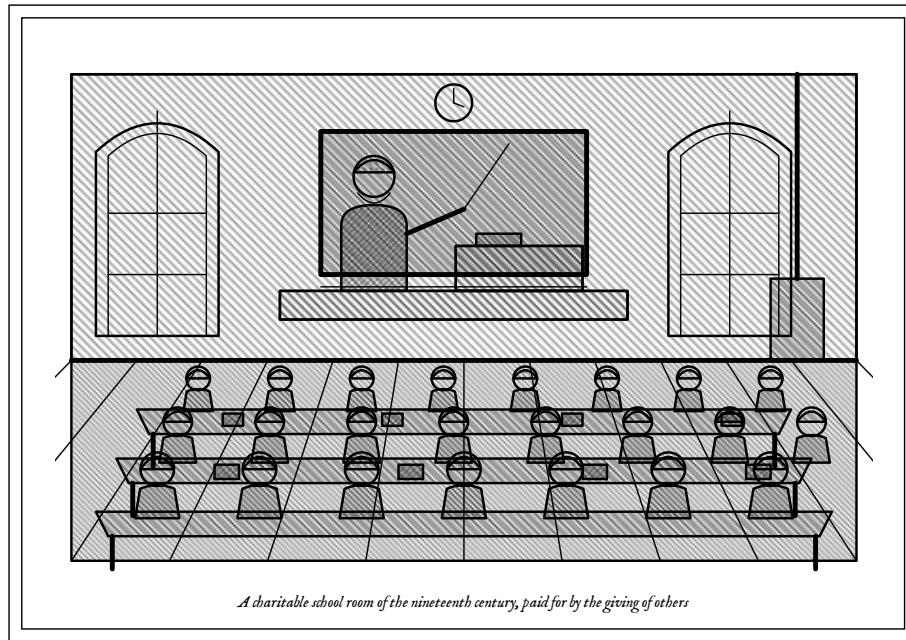
* * *

3.1 THE PURPOSE OF A BUSINESS

Begin with a household. A family says, "We will save Tk 1,000 each month for 12 months, to pay school fees." This is more useful than saying, "We will save some money one day." The first plan has an amount, a time and a purpose. We can also check it: after 12 months the family holds Tk 12,000, or it does not.

A business makes plans of the same kind. An **objective** is a clear aim that a business tries to reach within a stated time. The wish "the shop should do better" is not an objective, because it has no amount and no time. The aim "raise profit from Tk 750,000 to Tk 900,000 during 2026" is an objective, because it has both.

Some objectives can be counted in money. An **economic objective** is an aim that can be measured in money, such as profit, sales or market share. Sales means the money a business receives from selling. Market share means the part of all sales in one area



CHAPTER VI

Social Responsibility of Business

If a business may choose its own goals, what does it still owe to everyone else?



A business earns its money from people, uses the work of people and affects the lives of people who never entered its door. This chapter asks what a business owes to society, to its suppliers, to those who put money into it and to its own staff, and how a firm can tell whether it keeps these duties.

A social objective is an aim to benefit people outside the business.

A human objective is an aim to benefit the people who work in the business.

A table compares the three kinds of aim using the case file.

and will receive nothing. Why would a business give away books that it paid for?

An aim to benefit people outside the business is called a social objective. Examples are gifts to schools, fair prices, honest dealing and care for the neighbourhood. The gift of 200 books is a social objective. It helps children to read, and the benefit goes to the school and not to the shop.¹

A second group of aims concerns the people who work in the business. An aim to benefit them is called a human objective. Examples are fair pay, safe conditions, respect and training. The shop's third aim is a human objective. Training 7 staff for 14 hours each is $7 \times 14 = 98$ hours of learning, and the benefit goes first to the staff, who gain skill.

The next table sets the three kinds of aim side by side. Read each row from left to right: the kind of aim, who gains most from it, and the aim from the case file that matches it.

ECONOMIC, SOCIAL AND HUMAN AIMS COMPARED

KIND OF AIM	WHO GAINS MOST	AIM FROM THE CASE FILE
Economic	The business and its owner	Raise profit from Tk 750,000 to Tk 900,000
Economic (growth)	The business and its customers	Supply 12 schools' libraries
Social	People outside the business	Give 200 books a year to a school library
Human	The people who work in the business	Train 7 staff, 14 hours each

Aims can pull in different directions, because money spent on one aim is not available for another.

GO SLOWLY HERE.

Three ways to balance the aims: limit the cost, choose aims that serve both, and keep survival first.

The limit: a business must not raise profit by breaking the law or harming people.

The figure below shows three

Now we meet a difficulty. Money spent on a gift or on training is money not kept as profit. The 200 books were bought with the shop's money. The 98 hours of training may be hours when staff are not selling. In this way, social and human aims may conflict with the economic aim. Many students find this hard at first, because it seems that a business must choose between doing good and earning money. The next paragraphs show why the choice is seldom so sharp.

A business balances its aims in three ways. First, it limits the cost. The gift is 200 books a year, not all of the shop's stock, so the sacrifice has a known size. Second, it chooses aims that serve more than one purpose. Training that improves customer service also helps sales. Third, it keeps survival first, because a business that fails can help no one. Balancing means giving each aim its place and not allowing one aim to destroy another.

There is a limit on the other side. A business must not raise profit by harming people or by breaking the law. Paying staff less than the law allows, or selling unsafe goods, may raise profit for a short time, but it is neither social nor human. In every country national law sets some minimum standards, and the owner must learn those of the country where the business operates.

The figure below draws the three kinds of aim as three rings.

¹ Chapter 6, 'Social Responsibility of Business', studies the duties of business towards society in full.

The external force was technological, and the internal culture shaped the response.

REVIEW QUESTIONS

- 5.1 Sort each into internal or external: (a) the skill of the shop's staff; (b) a new tax on imported books; (c) the layout of the shelves; (d) a competitor's price cut; (e) the owner's decision to open on Fridays; (f) a rise in customers' incomes; (g) a new payment application; (h) the shop's habit of greeting every customer; (i) rain flooding the road outside; (j) the cash held in the shop's drawer.
- 5.2 Suppose Meghna and Sons stopped selling textbooks. Which forces in the case file would then matter less, and which internal facts would still matter?
- 5.3 A small bakery faces a rise in flour prices and hires a new baker. Sort these two events into internal and external, and name the group of the external one.
- 5.4 Name five stakeholders of the shop, and say whether each is internal or external.
- 5.5 Explain how a change in the external environment could threaten the survival of a business and its goodwill, and say how a different site from Chapter 4 might change the risk.

Plans can fail when the world changes, so they must be reviewed.

Goodwill is the good name a business earns with customers, which brings them back and is worth money.

Goodwill. The good name a business earns with customers, which brings them back and is worth money.

Goodwill takes years to earn and can be lost quickly.

Sound finance means having enough money at the right times, keeping records and borrowing with care.

Interest. Word in use. In daily life, interest means curiosity or attention, as in an interest in music. In finance, interest is the price paid for borrowing money, shown as a percentage of the amount borrowed each year.

Interest uses part of the profit, so borrowing must earn more than it costs.

A table compares the three prerequisites and what goes wrong without each.

Recap: prerequisites, planning and foresight, goodwill and

Plans have limits. The future cannot be known, and a plan made in January may not fit September. A sensible owner therefore reviews the plan at fixed times and changes it when the facts change. Foresight is not prediction. It is preparation.

The second prerequisite cannot be touched or counted in a cash box. **Goodwill** is the good name a business earns with customers, which brings them back and is worth money. A customer who found honest prices, careful advice and the right book in stock returns, and tells friends. Each return visit is a small payment that the shop did not have to win again.

Goodwill takes years to earn and can be lost at once. One act of dishonesty can undo what hundreds of honest sales built. For the owner, goodwill is something of value that does not appear on any shelf. If the owner sells the business, the buyer may pay more for a shop whose customers return than for one whose customers do not. The shop was opened on 4 April 1996, and every year since has added to its name or taken from it.

PAUSE AND CHECK 3.P2 Name one thing a shop could do this week to earn goodwill, and explain how goodwill could later be worth money.

The third prerequisite is sound finance. This means three habits. The first is to have enough money at the right times, so that bills are paid when they are due. The second is to keep records of money received and paid. The third is to borrow with care. Borrowed money must be repaid with interest. Interest is the price of borrowing, shown as a percentage of the amount borrowed each year. If a business borrows Tk 1,000 at 10% a year, it pays $1,000 \times 10 \div 100 = \text{Tk } 100$ in interest each year.

Consider what this means. Suppose the borrowed Tk 1,000 helps the business to earn an extra Tk 80 of profit in the year. The business pays Tk 100 in interest to earn Tk 80, and it ends the year Tk 20 worse off. Borrowing is wise only when the extra profit is greater than the interest. Fast growth with borrowed money is therefore risky, as section 3.1 warned.

The next table compares the three prerequisites. Read each row as a pair: what the prerequisite gives and what is likely to go wrong without it.

THREE PREREQUISITES OF SUCCESS

PREREQUISITE	WHAT IT GIVES	WHAT GOES WRONG WITHOUT IT
Planning and foresight	Direction and preparation	Surprises, and stock bought too late or in the wrong amount
Customer goodwill	Customers who return	Customers go elsewhere
Sound finance	Money to pay bills on time	Unpaid bills and survival at risk

Before moving on. A prerequisite is something needed beforehand. Planning and foresight give direction. Goodwill brings customers

the books they need at a fair price. A response succeeds when all three viewpoints can accept it.

The environment also connects to the objectives of Chapter 3. A fall in sales can threaten survival, which is the first aim of most businesses. A loss of customers can damage goodwill, the trust that brings customers back. A change in the environment may block an objective, but it can also open a chance, such as a new group of customers who want a service the shop can supply.

Adapting is not free: new stock needs money and new methods need training. Yet doing nothing is also a choice, and it can threaten the survival of the business. The honest question for an owner is which cost is smaller. The change itself is not always clear in advance, either, so some mistakes cannot be avoided. Good scanning reduces them but does not remove them.

IN SHORT

The environment has two parts. The internal environment is what the business can control. The external environment is what it cannot control directly. Stakeholders stand in both parts.

Before moving on. A business and its environment act on each other. A business can adapt to change, try to influence the forces around it within limits, and scan regularly for early warning. Each response has a cost, and doing nothing is also a choice.

A WORKED CASE: SORTING THE SHOP'S FORCES

Case file, illustrative. The 2025 record of Meghna and Sons shows textbook sales of Tk 4,300,000, against Tk 5,100,000 in 2024. Overall sales were Tk 14,400,000. Online sellers cut textbook prices by about 15% from March 2025. A school curriculum change was announced for January 2026. Internally, the shop has 7 staff and stock listed on paper cards.

Question. Sort the four recorded facts into the internal and external environment, name the group of each external force, and measure the fall in textbook sales and the share textbooks form of overall sales.

Reasoning, part one. The price cut is outside the shop and cannot be controlled directly, so it is external; it is economic, and technological too, because online selling made it possible. The curriculum change is also external, in the political and legal group. The 7 staff and the paper cards are inside the shop and can be changed, so both are internal.

Reasoning, part two. The fall is Tk 5,100,000 - Tk 4,300,000 = Tk 800,000. As a share of 2024 textbook sales, $\text{Tk } 800,000 \div \text{Tk } 5,100,000 = 0.157$, or about 15.7%. Textbooks formed $\text{Tk } 4,300,000 \div \text{Tk } 14,400,000 = 0.299$ of overall 2025 sales, or about 29.9%.

Reasoning, part three. The shop can adapt, because the curriculum change gives notice: it can study the new list of books and adjust its stock before January 2026. It can influence within limits,

The environment can help or block a business's objectives, including survival and goodwill.

Adapting has costs, and doing nothing is also a choice.

Section 5.3 ends with a recap.

The worked case sorts the shop's recorded facts and measures the fall in textbook sales.

The question asks for a sort into internal and external, and for the size of the fall.

Reasoning step one sorts the four facts.

Reasoning step two measures the fall and the share.

Reasoning step three lists the responses open to the shop.

* * *

SUMMARY

The chapter in a few lines.

An objective is a clear aim with an amount and a time. An economic objective is measured in money, and profit comes first because it makes survival possible. Social objectives benefit people outside the business, and human objectives benefit the people who work in it; a business balances all three kinds and keeps survival first. To last, a business needs planning and foresight, customer goodwill and sound finance.

THINK IT THROUGH

Two problems apply the chapter to new situations.

Reason from the definitions, and write your conclusion in a few sentences.

3.T1 When does a social aim conflict with profit? Give one example from a shop, and say how the shop might reduce the conflict.

3.T2 A baker plans to double the number of customers in one year. Name two things the baker must have in place first, and explain why growth that is too fast could threaten survival.

WHERE PEOPLE GO WRONG

Mistake one: believing that profit is the only objective.

Some students believe that profit is the only objective of a business. Profit comes first, because survival depends on it, but businesses also set social and human objectives. The shop's four aims for 2026 show all three kinds.

Mistake two: treating a wish as an objective.

Some students treat any wish as an objective. A wish such as "do better" has no amount and no time. An objective states both, so that we can check afterwards whether it was reached.

Mistake three: thinking survival means a large profit.

Some students think survival means earning a large profit. Survival means covering costs year after year. A small, steady profit can allow survival, and a large profit in one year does not guarantee it.

Mistake four: confusing goodwill with friendliness alone.

Some students think goodwill is only friendliness. Goodwill is the good name a business earns with customers, which brings them back and is worth money. Friendliness helps, but honesty, quality and reliability matter as well.

Mistake five: believing that social aims always reduce profit.

Some students believe that social aims always reduce profit. They cost money at first, but they may build goodwill, which brings customers back. The effect depends on the aim and on its cost.

IN HISTORY

In 1879 the Cadbury brothers moved their chocolate factory to a new site and named it Bournville.

In 1879 the brothers George and Richard Cadbury moved their cocoa and chocolate factory out of the centre of Birmingham, a large city in central England. The new site lay about four miles to the south, and they named it Bournville. The firm was a business in the sense of Chapter 1: it made goods, sold them for money and

Social and cultural forces are the habits, beliefs and tastes of the people around the business. They include what people read, how families value education, which festivals bring gifts, and how the population changes. Each February, Dhaka holds the Amar Ekushey Book Fair, where many readers buy books. A bookshop feels such a habit, because buying may move to the fair for a month. Tastes also change slowly, which makes these forces hard to notice.

Political and legal forces are the decisions of governments and the laws that follow. They include taxes, rules on trading, and decisions about education. Laws differ from country to country, so a business must learn the rules of the place where it works. A curriculum is the list of subjects and books a school teaches. The curriculum change announced for January 2026 is a decision about education of this kind: it may change which books students need, and so what the shop should stock.

Technological forces are new machines, methods and tools that change how goods are made, sold and delivered. Online selling is the main example for a bookshop: a customer can compare prices on a phone and order without leaving home. Technology can also help the business, since a shop can use it to record stock or to reach customers. A technological force can therefore be a threat or an opportunity, depending on how the business responds.

A force is not good or bad in itself. A price cut by online sellers is a threat to a shop that sells only textbooks. The same cut is an opportunity to a school that now buys its books more cheaply. A new curriculum is a threat to a shop with old stock, and an opportunity to a shop that is ready with the new books. The question for the owner is always the same: what does this force mean for this business, in this year?

Customers deserve special notice among the external stakeholders. They are outside the business, so the owner cannot control them. Yet without them the business has no income. A business that watches its customers closely learns early about changes in tastes, prices and needs. In this sense customers are the most important window through which a business sees its external environment.

The groups overlap. The online price cut is economic, because it concerns price, and technological, because online selling made it possible. Sorting is a tool for thinking, not a law: when a force fits two groups, name both. The forces also change at different speeds. Laws change in announced steps, tastes change slowly, and technology can change fast.

Before moving on. The external environment is the group of forces outside the business that it cannot control directly. We sort these forces into economic, social and cultural, political and legal, and technological groups. The groups overlap, so name every group that fits.

Social and cultural forces are the habits, beliefs and tastes of the people around.

Political and legal forces are the decisions of governments and the rules that follow.

Technological forces are new machines, methods and tools that change how business is done.

Each external force can bring a threat or an opportunity, depending on the business.

Customers are both external stakeholders and the source of the business's income.

The groups overlap, and the forces change at different speeds.

Section 5.2 ends with a recap.

A business and its environment act on each other in both directions.

5.3 INTERACTION WITH THE ENVIRONMENT

The internal and external groups are not separate worlds. They act on each other, and this two-way action is called interaction. Forces from outside reach the business: a price cut lowers sales. Forces

Three groups of people stand inside every business. Owners provide the money, carry the risk and set the objectives.¹ Managers organise the work and make daily decisions. Employees do the work, and they give the business its skill and energy. Each group has its own interests: the owner looks for profit, the manager for smooth operation, the employee for fair pay and safe work. These interests often agree, but they can also conflict.

Such people are called **stakeholders**. A stakeholder is any person or group affected by a business or able to affect it, such as staff or customers. Owners, managers and employees are the internal stakeholders. Later in this chapter we meet stakeholders outside the business. A stake is an interest in the outcome: a person with a stake gains or loses when the business does well or badly.

Two more internal forces matter. Resources are what the business holds: money, stock, equipment, skills, and systems for keeping records. Culture is the set of habits and beliefs that people in the business share, such as how they treat customers and how willing they are to try new methods. Resources can be counted; culture must be observed over time.

Consider one internal change: the shop replaces its paper cards with a computer list of stock. The owner sees a cost and a possible gain in sales. The manager sees time spent on moving the records and on checking them. An employee sees a new task to learn, and perhaps a quicker way to find a title. A customer, who stands outside, sees only whether the book can be found sooner. One change, four viewpoints: this is why a manager must ask who is affected before deciding.

A business also has rules of its own: a rule on how staff greet customers, or a rule on when a customer may return a book. These rules are part of the internal environment, because the business wrote them and can change them. Laws are different. A law is a rule made by the state, and the business must obey it whether it likes the law or not. Many students confuse the two, because both are called rules. The test is simple: who can change it? If the business can, it is internal.

Case file, illustrative. The internal record of Meghna and Sons for 2025 lists 7 staff and stock listed on paper cards. Both facts belong to the internal environment, because the shop can change them.

Culture shows in small daily habits. In a shop where staff greet each customer and note what customers ask for, the owner learns quickly what readers want. In a shop where staff ignore such questions, the owner learns late. Culture cannot be bought like a shelf. It grows from what owners and managers do every day, and from what they praise or ignore. This is why culture can be a strength that rivals cannot copy, or a weakness that is hard to remove.

Control is not complete. A manager can train staff but cannot

¹ Recall: objectives, Chapter 3, 'Objectives of Business and What Makes It Succeed', section 3.1 'The Purpose of a Business'.

Owners, managers and employees are the people inside, and each sees the business differently.

A stakeholder is anyone affected by the business or able to affect it.

Stakeholder. Any person or group affected by a business or able to affect it, such as staff or customers.

Resources and culture complete the internal picture: what the business holds and how it behaves.

Culture. Word in use. In daily life, culture often means the arts, customs and way of life of a whole society. In a business, culture means the shared habits and beliefs of the people who work there.

One internal change looks different to each person who stands inside the business.

Rules written by the business are internal; laws made by the state are external.

At the shop, the internal facts in 2025 were seven staff and stock listed on paper cards.

A culture of care or of carelessness shows in small daily habits.

Internal control is partial,

This note names the earlier ideas to know before reading on.

Two bakers with equal money face very different surroundings.

Neither low costs nor many passers-by decide the answer alone.

Every business meets this problem before its first sale.

A family choosing a home weighs several facts, and a business does the same.

A plant location is the place chosen for a factory or shop after weighing several factors.

Plant location. The place where a business builds its factory or opens its shop, chosen by weighing several factors.

Plant. Word in use. In daily life, a living thing that grows in soil. In business, the buildings and machines used to make goods.

The weight of each factor differs from one business to another.

You will need two earlier ideas. The first is land and natural resources: see Chapter 2, 'Factors of Production', section 2.1 'Land and Natural Resources'. The second is what a business needs to succeed: see Chapter 3, 'Objectives of Business and What Makes It Succeed', section 3.3 'What a Business Needs to Succeed'.

Imagine two bakers who begin on the same day. They have the same oven, the same recipe and the same savings. The first baker opens a shop in a quiet village, where the rent is low and flour comes from a mill nearby. The second opens a shop beside a crowded railway station in a large town, where the rent is high and the flour must travel a long way. After one year, which baker is better off?

The answer is not obvious, and that is the point. The village baker pays little for the shop and little for flour, yet few people pass the door. The station baker pays more for both, yet many people pass every hour. If bread sells slowly, low costs cannot rescue the village baker. If the rent consumes the money from sales, a busy door cannot rescue the station baker. Neither baker can decide from one fact. Each must weigh several facts together.

Every business meets this problem before it makes its first sale. A shop must stand somewhere; so must a factory, a workshop or an office. The place is hard to change later, and it affects the money going out and the money coming in for many years. This chapter teaches you how a business weighs the facts that decide its place. It follows one documented case, a bookshop in Dhaka that compares three districts for a second shop, and it ends with a real decision made in India in 1907.

4.1 WHY LOCATION MATTERS

Think first about a family that must choose a home. The family compares the rent, the distance to school and to work, the safety of the street and the nearness of shops. No single fact decides the matter. The family weighs the facts together and accepts that no home is perfect. A business makes a choice of the same kind, with more money at stake and with more people affected by the result.

A **plant location** is the place where a business builds its factory or opens its shop. The baker in the opening puzzle faced this decision: the village or the station. The word *plant* has a special meaning here. It means the buildings and machines that make goods, and a shop is included in the idea, because a shop also needs a site. A site is one particular piece of land or one particular building. The business compares each possible site with the factors in this chapter and then chooses one.

The factors do not carry equal weight for every business. A steel producer gives great weight to iron ore and coal, because both are heavy and costly to carry. A bookshop gives great weight to the number of people who walk past its door. A software office gives

Some businesses stand near customers because their goods spoil, break or must be bought quickly.

Footfall is the count of people passing or entering a shop in a given time.

Footfall. The number of people who walk past or enter a shop in a given time.

Transport and communication join the business to its materials, its workers and its customers.

A route is valuable only if it is fast, safe and reliable.

The sketch shows three pulls acting on one possible site.

The opposite pull comes from the customers. Goods that spoil quickly, such as bread, fresh milk or ice, must reach customers within hours. Goods that break easily, such as glass bottles, or that grow bulky in the making, such as furniture, are costly to carry far. Every shop stands near its customers by nature, since a customer must walk or ride to reach it. This is the pull of nearness to market, and here *market* means the customers who buy the goods.

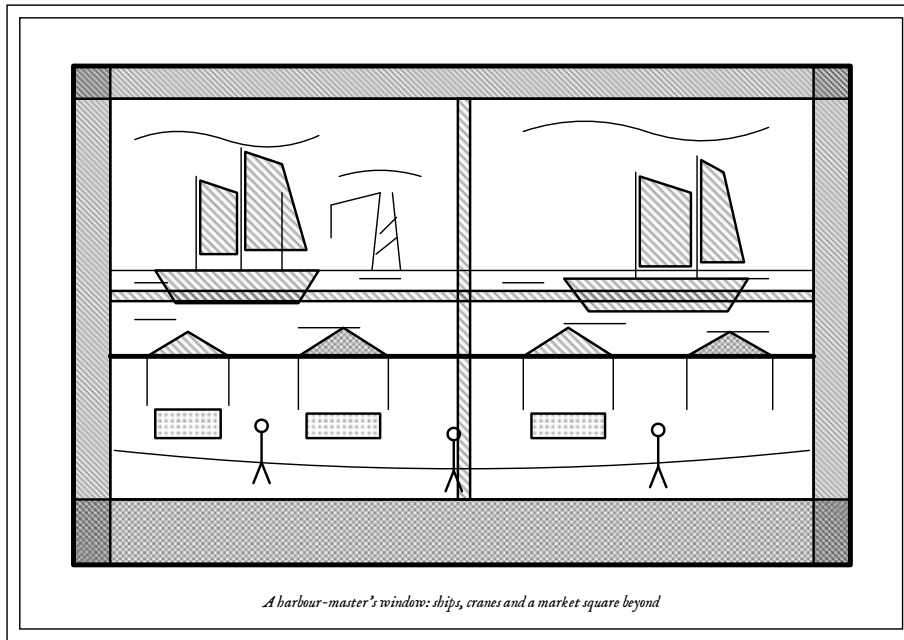
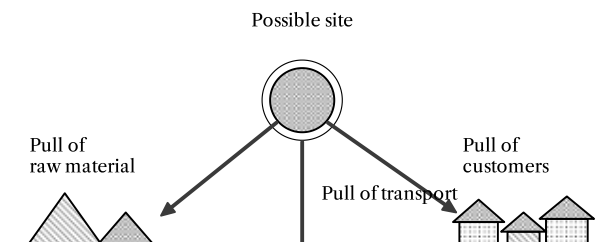
A shop measures this pull by counting people. **Footfall** is the number of people who walk past or enter a shop in a given time. For example, an owner may stand near a possible site for five days and count the people who pass each day, then take the average. Footfall counts people, not buyers. Many people may pass a door and buy nothing, so a high count shows an opportunity, not a certain sale.

PAUSE AND CHECK 4.P1 A bakery and a brick works each choose a site. Which should stand nearer its customers, and why?

Materials, goods and workers must all travel. Transport here means roads, railways, rivers, ports and airports, with the vehicles that use them. Communication means the passing of messages by post, telephone and the internet. A site beside a good road or a railway lowers the cost of bringing materials in and sending goods out. Before railways, canals served this purpose in many countries, and the plate at the start of this chapter shows a canal wharf of the 1860s, with barges beside the warehouses. A business also needs reliable communication to receive orders, pay suppliers and answer customers.

Transport does not only lower cost; it also changes speed and reliability. A cheap road that floods each year may cost more than a dearer road that stays open. A supplier who cannot deliver on time forces the business to hold more stock, which costs money to store. A software office may care little for roads but a great deal for a stable internet link. For this reason the owner examines the quality of each route and not only its price.

Now we read a sketch of the three pulls so far. It is a map, not a photograph. The circle in the middle is a possible site. Three arrows leave the circle. Each arrow points toward one thing that pulls the site: the raw material on the left, the customers on the right and the transport route below. The site settles where the three pulls balance, and each label names the pull that its arrow shows.



CHAPTER V

The Business Environment

Why can sales fall when nothing inside the shop has changed?



A business does not stand alone. Forces inside it and forces around it shape what it can do, and some of those forces change without warning. This chapter names the forces, sorts them into two groups, and shows how a business can respond. We follow the bookshops 2025 records and the story of a famous camera company.

IN HISTORY

In the 1900s India imported much of its steel from Britain. Jamsetji Tata, an Indian industrialist, had planned an iron and steel company for years. After his death his son, Sir Dorabji Tata, registered the Tata Iron and Steel Company on 26 August 1907.

The company chose a site at Sakchi, a village in the Singhbhum district of what was then Bihar province and is now Jamshedpur in the Indian state of Jharkhand. The reasons match the factors of this chapter. Iron ore lay in the region, found by a geologist named Pramatha Nath Bose at Gorumahisani. Coal came from the Jharia field. The Subarnarekha river supplied water. Railways joined the site to the ore, the coal and the large city of Calcutta, now Kolkata. In 1908 the company acquired about 3,584 acres of land around the village.

Production followed: pig iron in 1911 and steel in 1912. The village grew into a steel town, and in 1919 the Viceroy, Lord Chelmsford, renamed Sakchi as Jamshedpur in honour of Jamsetji Tata. The case shows that the best sites combine several factors, and that a choice made in 1907 shaped the place for generations.

REVIEW QUESTIONS

- 4.1 Explain plant location in your own words and give one example of a business and its site.
- 4.2 Explain why a site is a fixed commitment, and name two things a business may lose by moving.
- 4.3 Rank the factors in this chapter for a bakery, from most to least important, and give a reason for the first and the last.
- 4.4 Rank the factors for a steel mill, from most to least important, and give a reason for the first and the last.
- 4.5 Rank the factors for a software office, from most to least important, and give a reason for the first and the last.
- 4.6 Explain the difference between footfall and sales, and say why an owner should not rely on footfall alone.

The Tata Steel company in 1907 chose its site by weighing materials, water and transport.

The company chose Sakchi because several needed factors lay close together.

The site later grew into a company town.

The questions below ask the reader to apply the chapter.

An industrial estate groups factories in one planned area with shared services.

Industrial estate. An area planned and serviced by an authority where many factories are grouped together.

Banks and insurers lessen risk, and a site near them saves time.

Before moving on: this section named four daily needs.

Governments and communities shape a site through rules, support and conditions.

Government policy can reward a business for choosing a place.

Heat, rain and flood affect buildings, stock and workers.

A site must be safe for staff, customers and goods.

Weighing the factors means ranking them and accepting a compromise.

An **industrial estate** is an area planned and serviced by an authority where many factories are grouped together. For example, the authority may provide roads, power, water and waste removal for all the factories at once, so that no factory has to build these alone. Public authorities in Bangladesh and in many other countries have established such estates. The advantage is lower cost and fewer problems with local rules. The disadvantage is that an estate may stand far from customers, and that plots and fees are controlled by the authority.

A business also needs banks and insurers. It deposits its takings in a bank, borrows from it, and pays its workers through it. It buys insurance, which is a payment made so that an insurer will cover a loss from fire, theft or flood. A site in a town centre usually has many of these services nearby. Many banking tasks can now be done by telephone or online, so this pull is weaker than it was in the past.

Before moving on. Labour supply depends on the number, skills and wages of the workers nearby. Power and water are daily needs, and a shortage stops the business. Land cost is compared per unit of area, and local laws limit where a business may stand; an industrial estate groups factories with shared services. Banks and insurers form a lighter pull.

4.4 GOVERNMENT AND COMMUNITY FACTORS

The last factors come from outside the business. Governments, climate and the safety of an area are not chosen by the owner, yet each can raise or lower the worth of a site.

Government policy is the set of rules and support that a government applies to business. Many governments offer incentives, which means benefits that encourage a business to choose a place. Examples are lower tax for a number of years, cheaper land and grants. Governments often use them to bring work to areas with few jobs. Rules differ by country and change over time, so an owner must check the current rules before relying on any benefit.

Climate and environment also matter. Bangladesh has heavy monsoon rain, and some areas are flooded in many years, so a low site may need protection for its stock. Books and paper suffer from damp, and some foods need cool storage. A business that produces smoke, noise or waste must also respect rules that protect the air and water of nearby people. A site that suits the business today but floods each year carries a hidden cost.

Safety and security complete the list. The owner asks whether the street is safe at night, whether theft or fire is common, and whether staff and customers can travel to the site without danger. A business may pay for locks, lights and guards, and an insurer may charge more for a risky area. A site that looks cheap but needs heavy protection may cost more in the end.

Weighing the factors is the last step. The owner lists the factors that matter, ranks them by their importance to the objective of the business, and compares each possible site on each factor. Rarely does one site win every comparison, so the owner accepts a com-

where the Companies Act 1994 sets the rules; other countries use different numbers.²

PRIVATE AND PUBLIC LIMITED COMPANIES COMPARED (BANGLADESH)

FEATURE	PRIVATE LIMITED COMPANY	PUBLIC LIMITED COMPANY
Number of members	At least 2, at most 50	At least 7, no upper limit
Transfer of shares	Restricted by its rules	Free, in general
Invitation to the public	Not allowed	Allowed, by prospectus
Stock exchange	Shares not traded	Shares may be traded
Name ends with	Private Limited	Limited

The figure that follows draws the same difference as two circles. Each small circle inside a larger circle stands for one owner. In the private company the owners are few, and a dashed ring around them marks that outsiders may not buy. In the public company the owners are many, and arrows from outside show that the public may buy shares.

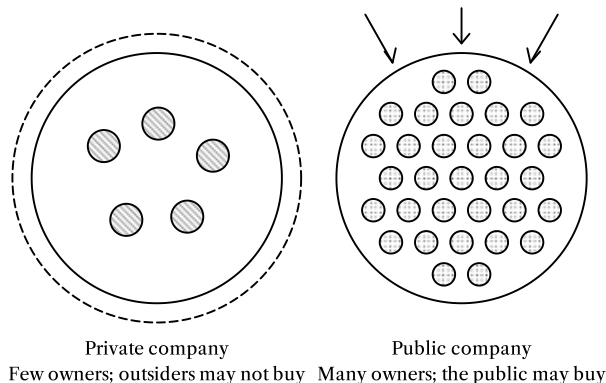


FIG. 9.1. *A private company and a public company, drawn as two ownership circles*

Each kind has merits and demerits. The private company keeps control among a few trusted owners, has fewer rules, and need not offer its affairs to public view. Its demerit is that it can raise money only from a small circle of people. The public company can raise large sums from thousands of people, and its owners can leave by selling shares to others. Its demerits are heavier rules, more public information about its affairs, and the risk that the original owners lose control as shares pass to many hands.

The viewpoint of each person changes the judgement. An owner of a private company values control, and an owner of a public company values the ease of selling. An employee may find a large public company secure but distant, and a small private company

² Rules differ by country. The numbers in the table follow the law of Bangladesh at the time of writing. A reader who needs exact rules should read the current Act.

The figure shows few owners against many, and a closed ring against an open one.

A private company gains control and privacy; a public company gains money and easy exit.

Owners, employees and customers see the two kinds differently.

depends on society and affects it, and responsible conduct also builds goodwill. Some argue that profit within the law is the only duty; most writers accept a middle view.

6.2 RESPONSIBILITY TO SOCIETY

A business that lives in a community owes the community a fair return.

Gifts are one form of duty, but fair daily conduct is the larger form.

Waste and pollution harm people who are not customers.

Sustainability asks a business to meet today's needs without harming the future.

Sustainability. Running a business so that it meets today's needs without harming the ability of later generations to meet theirs.

The law on pollution and waste differs by country and changes over time.

A person who uses goods is a consumer, and consumers hold certain rights.

Consumer. A person who uses goods or services.

The first group in the wider circle is the community: the people who live and work near the business. A business uses its roads, employs its people and shares its air and water. In return, a responsible business obeys local laws, pays its taxes, avoids noise and danger, and offers fair work to local people. Many businesses also give directly. A firm may give money to a hospital, give time to a school or lend a building for a public event. Such gifts are not required, and they differ widely in size.

Gifts are the most visible form of duty, but they are not the most important. A firm that gives to charity while it pays its workers late, or sells unsafe goods, has not shown responsibility. The larger duty is fair conduct every day: honest advertising, safe goods, lawful hiring and the keeping of promises. A gift cannot repair a daily wrong. For this reason, when we judge a business, we look first at how it earns its money and only after that at how it spends part of it.

The second duty concerns the natural world. Every business uses materials and produces waste. Smoke, chemicals, plastic and unsold goods all have to go somewhere. Pollution, which means harm to air, water or land by waste, falls on people who never bought anything from the business and who had no choice. A responsible business reduces its waste, treats what remains and, where possible, collects materials for reuse. Recycling is one example. It means processing used material, such as paper, so that it can be made into new goods.²

Thinking about waste leads to a wider idea. **Sustainability** means running a business so that it meets today's needs without harming the ability of later generations to meet theirs. A paper maker that cuts trees without replanting meets today's need and harms tomorrow's. A paper maker that plants a tree for each tree cut may continue for many years. Sustainability is a test of time: it asks whether the way the business works could continue for a hundred years without exhausting what it depends on.

Laws on waste and pollution differ widely. Some countries set strict limits and inspect factories often. Others have limits that are weak or poorly enforced. A business that obeys only the law may therefore do very little in one country and a great deal in another. A responsible business does not ask only what the law allows in each place. It asks what harm its work causes and whether it can reduce that harm at a reasonable cost.

The third duty concerns the people who use the goods. A **consumer** is a person who uses goods or services, whether or not that person also paid for them. A customer is the person who buys; the consumer is the person who uses. A father who buys milk is the

² Recall: the natural surroundings of a business, Chapter 5, section 5.2 'Outside the Business'.

three owners would be three other persons, and the law would keep the four apart.

Four results follow from this separateness. The company can own property in its own name, so the building belongs to the company and not to any owner. It can make contracts and borrow money in its own name. It can sue others and be sued in a court. And it continues to exist when an owner dies, leaves or sells, because a person made by law has no age and no natural death. A company ends only when the law, or its owners by a formal process, bring it to an end.

PAUSE AND CHECK 9.P1 In the opening, the leaving partner could demand her money and the shop could be forced to close. In a company, what happens to the business when an owner leaves?

Compare this with the partnership of Chapter 8. A partnership has no existence apart from its partners, so a change in the partners can end it or force it to change. A company has no such weakness, because its owners are not its body. An owner of a company holds a claim on it, not the company itself. The owner can sell that claim to another person, and the business continues exactly as before, with the same building, the same contracts and the same staff.

The second great idea follows from the first. Because the company is a separate person, the debts of the company are the debts of the company, and not of its owners. **Limited liability** means a rule that owners of a company lose, at most, the money they paid for their parts of it, and never their personal wealth. Suppose a company fails and owes a supplier more than it has. The supplier cannot take the owners' houses; the owners lose what they paid, and nothing more. In a partnership, by contrast, each partner may be asked to pay the debts from personal wealth.

The rule has exceptions, and a careful reader should know them. A bank often lends to a small company only if the owners sign a personal guarantee, which is a written promise to repay if the company cannot. An owner who signs it has chosen to accept that debt personally. The law may also remove protection from owners who use the company to commit fraud. And an owner who has not yet paid for the parts that were promised must still pay that amount. The rule protects honest owners from the ordinary risk of business; it does not protect them from their own promises or from wrongdoing.

The equal parts of the mill have a name. A **share** is one equal part of a company's capital, which gives its holder a claim on profit and a voice in decisions. A person who holds shares is a shareholder. Suppose a company divides its capital into 1,000 shares of Tk 100 each, so the capital is Tk 100,000. A person who holds 100 of those shares owns one tenth of the company and receives one tenth of any profit that the company decides to distribute. Shareholders usually vote on major decisions, and each share normally carries one vote.

Separateness lets the company own, contract, sue and continue.

Recall: why partnerships struggle with change, Chapter 8, 'The Partnership', section 8.3 'Rights, Duties and Dissolution'.

A partnership is not a person apart from its partners; a company is.

Recall: partner liability for debts, Chapter 8, 'The Partnership', section 8.4 'Partnership Compared with Sole Proprietorship'.

Limited liability caps an owner's loss at the money contributed.

Limited liability. A rule that owners of a company lose, at most, the money they paid for their parts, never their personal wealth.

Limited liability has limits: guarantees, fraud and unpaid amounts.

A share is one equal part of a company.

Share. One equal part of a company's capital, giving its holder a claim on profit and a voice in decisions.

Share. Word in use. In daily life, a portion of something divided among people, such as a share of food. In a company, a measured part of the capital, with a claim on profit.

6.4 RESPONSIBILITY TO INVESTORS AND STAKEHOLDERS

An **investor** is a person who puts money into a business expecting to receive a return. A *return* is the extra money that comes back to the investor, such as a share of profit or interest. For example, a person who buys a share in a company, or who lends money to a shop, is an investor. The word *investment* has a special meaning in business: it means the money put in, not the time or effort. Owners who put in their own money are investors in their own business, and a bank that lends money is also an investor in this sense.

What do owners and lenders have a right to expect? First, honest accounts: they must be told truthfully how the business is doing. Second, care of their money: the managers must not waste it or place it in needless danger. Third, a fair return: the owners may expect profit when the business earns one, and lenders may expect interest and repayment on the agreed dates. A business that hides losses or pays its lenders late breaks all three duties. The duty to a lender is firm, because the lender's claim is a debt.

The next group is the employees. An employee is a person who works for the business in return for pay. A responsible business pays wages on the agreed date, provides a safe workplace, treats its workers with respect and does not require work that is dangerous or unlawful. It also gives fair chances to advance. The employees are inside the business, so their treatment shapes its internal environment, and a firm that treats them badly will find work done carelessly or staff leaving.³

All the groups of this chapter share one feature: each is affected by the business. Writers call such a group a *stakeholder*, which means any person or group with something to gain or lose from the business. This book uses the word only in this plain sense. Owners, lenders, employees, suppliers, consumers and the community are all stakeholders. The word is useful because it reminds us that the owners are not the only people with a claim.

The groups do not always want the same thing. Employees may want higher wages, while owners want higher profit. Consumers want low prices, while suppliers want high prices. A community may want a quiet street, while the business wants longer hours. No business can satisfy every group in full. Balancing means weighing each claim, giving each fair attention and explaining the decision honestly. The balance will differ with the size and the means of the business, and a small shop cannot do what a large company can.

How can an observer recognise a responsible business? Four signs help. It keeps its promises to suppliers and pays on time. It treats staff fairly. Its goods are safe and truthfully described. It deals openly with owners and lenders and takes care of its surroundings. A single act proves little. A pattern over many years is the best evidence.

³ Recall: internal and external environment, Chapter 5, 'The Business Environment'. Employees belong to the internal environment; the community and consumers to the external environment.

Those who put money into a business also have claims on it.

Investor. A person who puts money into a business expecting to receive a return.

Investment. Word in use. In daily life, time or effort spent for a later benefit. In business, money put into a business in order to receive a return.

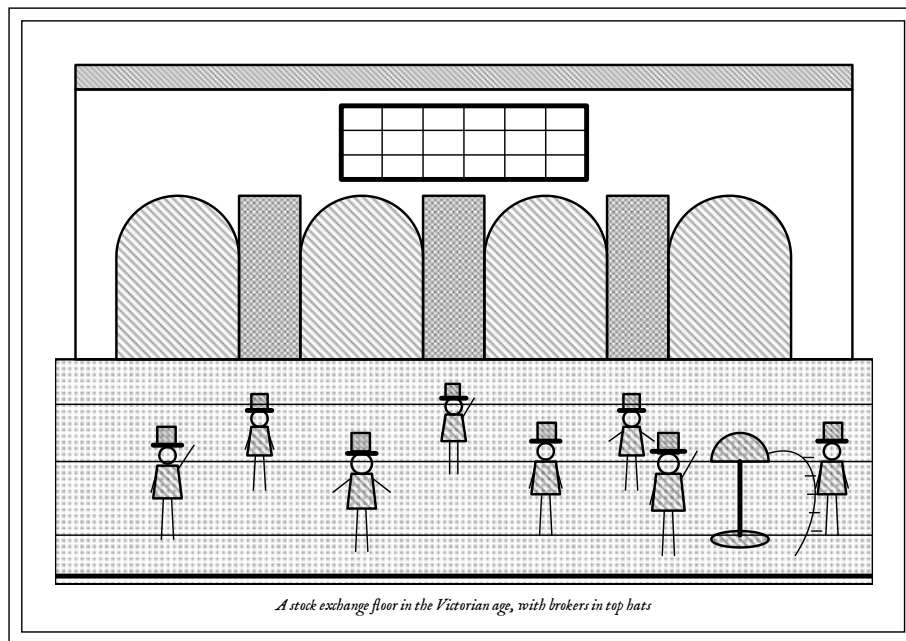
Owners and lenders are owed honest accounts, a fair return and care of their money.

Employees give their time and skill, and they too have claims.

A stakeholder is any person or group affected by what the business does.

The groups sometimes want opposite things, so the business must balance them.

A responsible business can be recognised by its records and conduct over time.



CHAPTER IX

The Joint Stock Company

Can a business live on after its owners are gone?



A company is a business that the law treats as a person of its own, owned by shareholders who risk only the money they invest. This chapter explains what a company is, how private and public companies differ, and how a company is formed. It ends by asking when the company is the right form, using the running case of Meghna and Sons.

The summary lists the main ideas of the chapter.

The questions below change the situation step by step.

Four common mistakes about social responsibility, each with its correction.

The law is the minimum and not the full duty.

Responsibility is not opposed to profit in every case.

A customer and a consumer may be different people.

In 1982 a firm chose to recall

SUMMARY

Social responsibility is a business's duty to act in ways that benefit society as well as its owners. A business owes duties because it depends on society and affects it, and responsible conduct also helps goodwill and survival. It owes the community fair daily conduct and care with waste, and it must keep sustainability in mind. It owes consumers safety, information, choice and a fair hearing, suppliers fair dealing and prompt payment, and investors, lenders and staff honest and fair treatment.

THINK IT THROUGH

Questions 6.t1 and 6.t2 use the case file in the worked section. Questions 6.t3 and 6.t4 change the setting.

6.t1 The shop reduces its average payment time from 47 days to 38 days. How many days late is it now, and what fraction of the agreed time is that, rounded to two decimal places?

6.t2 Suppose the shop had given 200 books but the retail value were Tk 150,000 instead of Tk 90,000. What fraction of the profit of Tk 750,000 would that be? Does the size of the gift alone show that the shop is responsible?

6.t3 A small supplier of paper is paid late by its main customer for several months. Describe the effect on the supplier, and say what the supplier could do and what the customer should do.

6.t4 A garment maker in a country with weak pollution laws can save money by releasing waste water into a river. Which groups are affected, which duties are involved, and what would a responsible firm decide?

WHERE PEOPLE GO WRONG

Mistake. Social responsibility means giving money to charity. **Correction.** Gifts are one part of it. Honest dealing, safe goods, prompt payment and care with waste are larger parts, and a gift cannot repair a daily wrong.

Mistake. If an act is legal, a business owes nothing more. **Correction.** The law sets a minimum. In the space above it, a responsible business considers the harm and benefit of its choices, as the shop owner with the cough syrup did.

Mistake. A responsible business must always earn less. **Correction.** Many responsible acts protect goodwill and survival, and may raise profit over time. Some acts cost money, and the business must weigh the cost against its means.

Mistake. The customer and the consumer are always the same person. **Correction.** The customer is the person who buys, and the consumer is the person who uses. A business owes duties to both.

IN HISTORY

Johnson and Johnson is a large company in the United States that

WHERE PEOPLE GO WRONG

Some readers think that only the partner who signed a contract must pay. This is wrong. Under mutual agency, an act in the ordinary course of the business binds all the partners, even those who never saw it.

Some readers think that a partner who takes no part in management cannot lose more than the capital invested. In Bangladesh this is wrong. A sleeping partner has unlimited liability, like every other partner, unless the law of the country provides for limited partners.

Some readers think that the partner with the largest capital must receive the largest share in proportion. This is wrong. When the deed is silent, the law shares profit equally. When the deed fixes a ratio, the ratio is a bargain among the partners and need not follow the capital.

Some readers think that a limit written in the deed protects the partners against every supplier. This is wrong. The limit protects the partners against each other. An outsider who did not know of it may still hold all the partners to the contract.

Mistake one: only the partner who signs is bound.

Mistake two: a sleeping partner has no risk.

Mistake three: profit must follow capital.

Mistake four: a limit in the deed protects the partners against outsiders.

IN HISTORY

Bill Hewlett and David Packard studied engineering at Stanford University in California, in the United States. In 1938 they began work in a garage at 367 Addison Avenue in Palo Alto, California. Their first product was an audio oscillator, an instrument for testing sound equipment. The film studio of Walt Disney ordered eight of a later version of it for the film *Fantasia*.

On 1 January 1939 they formalised their venture as a partnership. A coin toss decided the order of their names, which is why the business is called Hewlett-Packard and not Packard-Hewlett. For eight years it remained a partnership. It was incorporated on 18 August 1947, which means that it became a company. By 1950 it had 70 products and revenue of about 2 million United States dollars.

The story shows the features of this chapter: two people, an agreement, shared profit and shared risk. It also shows that a partnership may later change its form. Chapter 9, 'The Joint Stock Company', explains the form that the two partners chose in 1947.

Two engineers formed a partnership in 1939, and it later changed its form.

The partnership was formalised on 1 January 1939 and became a company in 1947.

The story shows the features of this chapter and the change of form that may follow.

REVIEW QUESTIONS

- 8.1 Two friends share the profit of a market stall in the ratio 3:2. The profit for the year is Tk 60,000. Find each friend's share.
- 8.2 The friends in question 8.1 wrote no deed. How would they share the Tk 60,000, and which rule gives the answer?
- 8.3 The partners of Meghna and Sons agree to change the profit ratio to 4:3:3. Find each partner's share of the profit of Tk 420,000 for 1 July to 31 December 2026.
- 8.4 A retired teacher offers capital to a baker but wishes to take no part in running the business. Name the kind of partner she would

MODES OF DISSOLUTION

MODE	WHEN IT HAPPENS
By agreement	All the partners agree to end it, or the deed provides for its end.
Compulsorily	All the partners but one become unable to pay their debts, or the business becomes unlawful.
On a stated event	A fixed term ends, a venture is complete, or a partner dies or becomes unable to pay debts, unless the deed says otherwise.
By notice	A partner gives notice to end a partnership at will.
By the court	A court orders it, for example when a partner is permanently unable to work or acts dishonestly.

Before moving on. When the deed is silent, the law supplies rights and duties, and it shares profit equally. A deed usually fixes a profit ratio, and the ratio need not follow the capital. Dissolution is the formal ending of a partnership. It may happen by agreement, compulsorily, on a stated event, by notice or by order of a court.

8.4 PARTNERSHIP COMPARED WITH SOLE PROPRIETORSHIP

The table below sets the sole proprietorship beside the partnership. Read each row to compare one feature of the two forms.

SOLE PROPRIETORSHIP AND PARTNERSHIP COMPARED

FEATURE	SOLE PROPRIETORSHIP	PARTNERSHIP
Owners	One	Two or more
Capital	From one person	Pooled from all partners
Decisions	The owner alone	Shared among the partners
Profit	Kept by the owner	Shared in the agreed ratio
Liability	Unlimited for the owner	Unlimited for each partner, including for the acts of the others
Agreement	None needed	An agreement, ideally a written deed

The advantages of a partnership are more capital, more skills and shared work. Its disadvantages are shared control, shared profit, the risk of disagreement and the liability that each partner carries for the acts of the others. A person who values full control, and who can supply enough capital and skill alone, may prefer the sole proprietorship. People who need each other's capital or skills, and who trust each other, may prefer a partnership with a careful deed.

Before moving on. A partnership adds capital, skill and shared work to the sole proprietorship. It also adds shared control, shared profit and shared liability.

WORKED CASE: SHARING SIX MONTHS OF PROFIT

The third section ends with a recap of rights, duties, profit and dissolution.

The two forms differ in owners, capital, decisions, profit and liability.

A partnership gains capital and skill but loses sole control.

The fourth section ends with a short recap.

Two earlier ideas are needed before this chapter.

A cobbler faces a choice about who will own his new shop.

Each choice gives different answers to who decides, who gains and who pays.

A family choosing how to own a house meets the same three questions.

The law and custom of each country offer several ways to organise ownership.

The sketch is a family tree that begins with all businesses and splits twice.

You will need two earlier ideas. The first is business activity: see Chapter 1, 'What Business Is', section 1.1 'Why People Do Business'. The second is what makes a business last: see Chapter 3, 'Objectives of Business and What Makes It Succeed', section 3.3 'What a Business Needs to Succeed'.

Picture a cobbler, a maker and mender of shoes, who has saved enough money to open a small shop. He has the tools, the skill and a street full of walkers with worn shoes. Then a neighbour makes an offer. The neighbour will give him money for the shop, and in return he asks for a share of every profit. A second neighbour says the cobbler should ask many people for small sums, so that no single person carries the risk. The cobbler must decide who will own his business.

The cobbler does not yet know it, but three questions sit inside his decision. Who will decide what the shop does? Who will receive the profit when the shop does well? Who will pay the bills if the shop fails? A different owner, or a different number of owners, gives different answers to all three. The questions are the same for a bookshop in Dhaka, a bakery in Lagos or a factory in Osaka. This chapter shows how business owners answer them, and it studies in detail the form the cobbler would choose if he kept the shop to himself.

7.1 CHOOSING AN OWNERSHIP FORM

Think first of a family that wishes to buy a house. One person may buy it alone and make every decision alone. Two relatives may buy it together and share the cost. A large group may buy a block of flats and each own one flat. In each case the family must decide who owns, who decides and who is responsible for the debt. A business meets the same questions, but it adds the daily work of making and selling.

A type of business organisation is a way of arranging who owns a business and who answers for it. Each country has its own laws, and the names and rules differ by place. Even so, most countries offer the same few basic forms. One person may own the business alone. Two or more people may own it together. A large number of people may buy shares in a company. People with a shared need may form a society owned by its members. A government may own the business on behalf of all citizens. The next chapters study these forms in turn, and the figure below shows how they relate.

Now we read the family tree. It begins at the top with one box labelled for every business. The box splits into two branches, one for the private sector and one for the public sector, both defined in the next paragraph. Under the private sector branch stand four forms of ownership. Under the public sector branch stands one. Each box names a form, and a line shows the branch that the form belongs to. The words in the lower boxes are previews: the chapter named beside each one will teach it.

FOUR KINDS OF PARTNER

KIND OF PARTNER	SUPPLIES CAPITAL	MANAGES THE BUSINESS	LIABILITY TO OUTSIDERS
Active	Usually	Yes	Unlimited
Sleeping	Yes	No	Unlimited
Nominal	No	No	Unlimited, to outsiders who trusted the name
Limited	Yes	No	Limited to capital invested, where the law allows

So far we have studied the partners. Partnerships also differ in their length of life. A partnership for a term is formed for a fixed period, such as five years, or for one venture, such as building a single block of shops. It ends when the period expires or the venture is complete. A partnership at will has no fixed period. It continues until a partner gives notice that he or she wishes to end it. The deed should state which kind the partners choose. When the deed fixes no period and no single venture, the law treats the partnership as one at will.

Consider two bakers who agree to run a stall at a fair that lasts three weeks. Their partnership is for one venture, and it ends when the fair ends. Suppose instead that they say nothing about its length. The law then treats the partnership as one at will, so either baker could end it by notice in the busiest week of the fair. The example shows why the deed should state the length of life.

Before moving on. A sleeping partner supplies capital and shares profit but does not manage. A nominal partner lends only a name. A limited partner risks only the capital invested, where the law allows it. A partnership for a term ends with the term or the venture; a partnership at will ends when a partner gives notice.

8.3 RIGHTS, DUTIES AND DISSOLUTION

What happens when the deed says nothing about a matter, such as who may inspect the books, or what to do when partners disagree? The law answers with implied rules. They apply unless the partners agree otherwise. Each partner has the right to manage the business, to inspect and copy the books of account, to be repaid money spent for the business, and to share in the profit. Ordinary matters are decided by a majority of the partners. A basic change, such as a new kind of business or a new partner, needs the consent of all.

The same rules place duties on each partner. A partner must act for the common benefit of all the partners and must deal honestly and fairly with them. A partner must keep true accounts and give full information on request. A partner must not earn a secret gain from the business, for example by taking a payment from a supplier without telling the others; such a gain belongs to the business. A partner must not run a competing business without consent. A

⁴ This is the rule of the Partnership Act 1932 in Bangladesh and of the Partnership Act 1890 in the United Kingdom.

Partnerships also differ in how long they are meant to last.

Two bakers at a fair show why the deed should state the length of life.

The second section ends with a recap of the kinds of partner and partnership.

The law fills the gaps that the deed leaves.

Partners owe each other honesty, true accounts and care.

Before moving on: this section gave three ideas.

A person who works alone for himself is the simplest form of owner.

A sole proprietorship is a business owned and run by one person.

Sole proprietorship. A business owned and run by one person, who keeps all profit and bears all losses.

The key feature is that all profit belongs to the owner, and all losses fall on him.

Control is complete, and the owner decides without asking anyone.

Unlimited liability is the third feature, and it is the greatest risk.

Liability. Word in use. In daily life, a duty or a responsibility. In business, a debt that a person or business is bound to pay.

Unlimited liability. A duty on the owner to pay the business's debts from personal wealth if the business cannot.

Before moving on. A type of business organisation is a way of arranging who owns a business and who answers for it. The economy has two sectors: the private sector, owned and run by individuals and private firms, and the public sector, owned and run by government. The right form depends on money, control, risk and size, and the rules of each country differ.

7.2 THE SOLE PROPRIETORSHIP

Return to the cobbler who keeps the shop for himself. He needs no neighbour to agree with him and no group to approve his plans. He buys leather, mends shoes and sets his own prices. When a customer pays, the money goes to him. When a supplier sends a bill, the bill comes to him. This is the oldest and simplest form of business: one person who owns it, runs it and answers for it.

A **sole proprietorship** is a business owned and run by one person, who keeps all profit and bears all losses. The owner is called the owner, or the proprietor. An example is a family bookshop whose founder owns it alone. Other names are *sole trader* and *one-person business*. This book uses the word *sole proprietorship* for the form and *owner* for the person. The word *sole* means *only*. The owner may employ staff, but the staff do not own any part of the business.

The first feature follows from the definition: the owner keeps all profit. If the business earns Tk 750,000 in a year after paying its costs, all of it belongs to the owner. He may spend it, save it or put it back into the business. The same rule applies to losses. If the business loses money, the owner alone bears the loss. This gives the owner a strong reason to work hard, since every taka earned is his, and a strong reason to take care, since every taka lost is also his.

The second feature is control. The owner decides what to sell, where to stand, what to charge and whom to employ. No meeting is needed and no vote is taken. Decisions can be made quickly, and the owner can change direction when conditions change. This speed is an advantage, though it also removes a check. When no one else shares the decision, a mistake by the owner may pass without warning from anyone.

The third feature is the most important to understand. **Unlimited liability** is a duty on the owner to pay the business's debts from personal wealth if the business cannot. Here *liability* means a debt that a person is bound to pay, and *unlimited* means there is no upper limit to this duty. Suppose a small business owes Tk 500,000 to its suppliers but has only Tk 200,000 in money and goods. The owner must find the remaining Tk 300,000. In many countries he may have to sell his own savings, land or home. The law treats the business and the owner as one person for this purpose.¹

PAUSE AND CHECK 7.P1 A sole proprietor owes Tk 800,000 to suppliers. The business holds Tk 500,000 in money and goods. How

¹ This is the usual rule for a sole proprietorship in many countries, including Bangladesh. Exact rules on what may be taken, and in what order, differ by country, so an owner should check the local law.

A partnership begins with an agreement, and the agreement may be spoken or written. A written agreement is called a **partnership deed**. It states the capital that each partner supplies, the duties of each partner, the shares in which profit is divided and the rules for ending the business. Suppose that two partners later disagree about what each promised. A spoken promise is hard to prove, but a signed deed settles the matter. Careful partners therefore write a deed, even where the law of their country does not require one.

Case file, illustrative. Deed dated 1 July 2026, Meghna and Sons: three partners supply capital. Nurul Meghna supplies Tk 2,500,000, Rafiq Meghna supplies Tk 1,000,000 and Tariq Meghna supplies Tk 600,000, a total of Tk 4,100,000. The deed fixes the profit ratio at 5:3:2. Of every ten parts of profit, five go to Nurul, three to Rafiq and two to Tariq.

What exactly makes a relationship a partnership? The law seeks four features, which together we call the base of partnership. The first is an agreement between two or more persons. The second is a business, meaning a lawful activity carried on to earn gain. The third is the sharing of profit among the persons. The fourth is that each person can act for all the others in the business. The fourth feature answers our opening question, so we study it with care.

IN SHORT

A partnership needs four features: an agreement, a business, the sharing of profit and mutual agency.

In law, an agent is a person who acts for another person and can bind that person by the act. Under **mutual agency**, each partner is the agent of all the other partners. The rule is called mutual because the agency works in both directions. So when your friend signs the order for books, all the partners must pay the supplier, because the friend acted as the agent of all. Chapter 7 showed that a sole owner has unlimited liability. In a partnership every partner shares that liability, and mutual agency means that it can arise from the act of another person.

PAUSE AND CHECK 8.P1 A partner signs a contract in the ordinary course of the business with a supplier who has never met the other partners. Can the supplier demand payment from a partner who did not sign? Give your reason.

Two limits matter. First, mutual agency covers acts in the ordinary course of the business. A partner who buys a car for private use does not bind the others. Second, the deed may limit the power of a partner, for example by forbidding any partner to sign a large

The partners record their bargain in a written agreement.

Partnership deed. A written agreement setting out partners' capital, duties, profit shares and rules for ending the firm.

Deed. Word in use. In daily life, an action, as in a good deed. In law, a formal written document that records a binding agreement.

The case file shows what a deed records.

Four features together make a partnership, and the law looks for all four.

Each partner acts for all the partners and can bind them.

Recall: unlimited liability, Chapter 7, section 7.3 'Formation and Management'.

Mutual agency. The rule that each partner can act for the firm and bind all the other partners.

Agency. Word in use. In daily life, an office that arranges services, such as a travel agency. In law, the relation in which one person acts for another and can bind that person.

Mutual agency has limits, and sharing profit alone does not make a partnership.

A trade licence is the official permission to trade in a stated place.

Trade licence. Official permission from a local authority to carry on a stated trade in a stated place.

Management means that one person performs every role, which is a strength and a strain.

Records, cash and a clear division of business and personal money are basic habits.

Unlimited liability limits how much risk an owner can safely take.

The owner's personal limits also limit the size of the business.

Before moving on: this section gave the steps and limits of one-owner business.

The legal step common to nearly every shop is the licence. A **trade licence** is official permission from a local authority to carry on a stated trade in a stated place. For example, a bookseller in Dhaka obtains a licence that names the trade, books, and the address of the shop. In Bangladesh the local authority may be a city corporation, a municipality or a union council, according to where the shop stands. The licence must be renewed, usually each year, and a shop that trades without a current licence may be fined or closed.²

Managing a sole proprietorship is different from managing a large business. In a large business many people share the work: one buys, one sells, one keeps records and one leads. In a sole proprietorship the owner often performs all these tasks, with the help of a few staff. The owner buys stock, serves customers, pays wages and records the money. This gives him close knowledge of every part, and it also means that his time is limited. Where the business grows, the owner must decide which tasks to hand to staff and which tasks to keep.

Three habits protect a sole proprietorship. First, the owner keeps written records of every sale and cost, so he can see whether the business earns a profit. Second, he keeps business money apart from his own spending, even though the law treats the two as one person for debts. Mixed accounts hide the true result. Third, he saves a part of his profit as a reserve for a poor year. These habits are easy to name and hard to keep, and many small businesses fail because they are neglected.

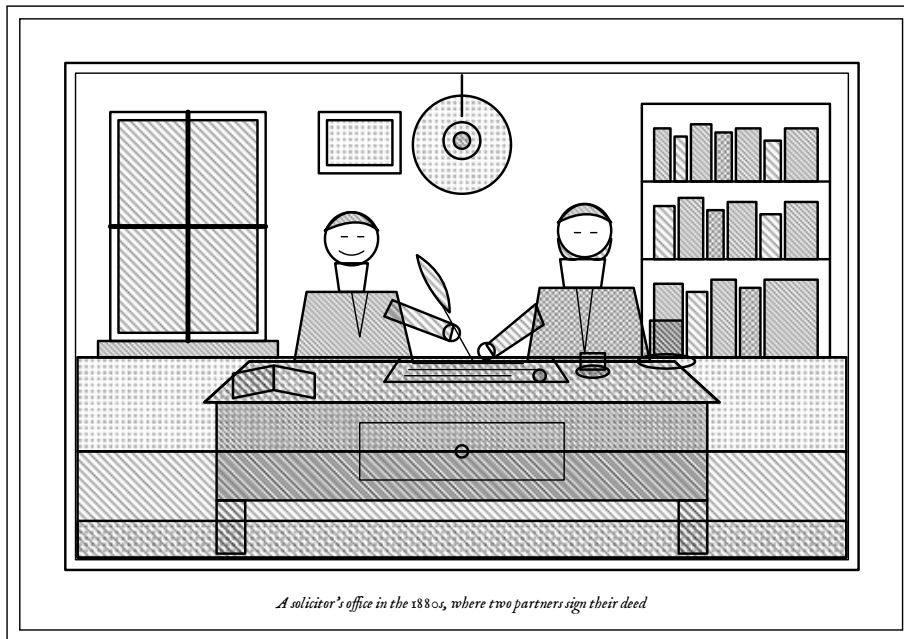
The final topic returns to unlimited liability, because it limits what an owner can safely do. A large order, a new shop or a big loan may bring great profit, but a failure would be paid from the owner's savings and home. A prudent owner therefore asks, before each decision, how large the worst loss could be and whether he could pay it. A form with limited liability would protect his personal wealth, and later chapters show which forms provide that protection. For this reason a sole proprietorship that grows large often changes its form.

Other limits are simple to state. The owner can raise only as much money as he and his lender can provide. His skill and time are limited, and if he falls ill, the business may stop. The life of the business is tied to the life of the owner. These limits do not make the form poor; they make it suitable for small work. A business that grows past them must find other money or other owners.

Before moving on. A sole proprietor plans, finds money, chooses a place and meets the legal steps, of which the trade licence is the chief one. Management is performed largely by the owner himself, who needs records, separate money and a reserve. Unlimited liability limits the risk the owner can take, and a growing business often changes its form.

* * *

² Rules on licences, the fees and the authority that issues them differ by country and by city, and they change over time. Other registrations, such as tax registration, may also apply. Check the current rules before relying on this chapter.



CHAPTER VIII

The Partnership

Who answers when two people own one business?



This chapter explains how two or more people can own a business together. It shows what the law expects of partners, how they share profit and how a partnership ends. It closes by comparing the partnership with the sole proprietorship.

7.T2 Suppose the business had lost Tk 750,000 in 2025 instead of earning it. Who bears the loss, and what does unlimited liability add to the risk?

7.T3 A farmer who owns a small farm alone borrows Tk 2,000,000 to buy machines. A flood destroys the crop and he cannot repay. What does unlimited liability mean for the farmer, and what could he have done before borrowing?

7.T4 A tailor who is a sole proprietor wishes to open four more shops. Which features of the form help her, and which features limit her? What might she consider?

WHERE PEOPLE GO WRONG

Mistake. A sole proprietor has no employees. *Correction.* The word *sole* refers to ownership, not to staff. One owner may employ many people, and the staff do not own any part of the business.

Mistake. If the business fails, only the business money is lost. *Correction.* Under unlimited liability the owner must pay the remaining debts from personal wealth, which may include savings and a home. The exact rule depends on the law of the country.

Mistake. Because the owner decides everything, no records or reserves are needed. *Correction.* Records and a reserve are more important in a one-owner business, since no one else will notice a problem in time.

Mistake. A very small shop needs no licence. *Correction.* Most local authorities require a trade licence for a stated trade in a stated place. Small shops are often fined or closed for trading without one.

IN HISTORY

Madam C. J. Walker was born Sarah Breedlove in Louisiana, in the United States, in 1867. She lost her hair through scalp illness in adult life, and she made a hair treatment for her own use. She had earlier worked as a sales agent for another hair-care business, owned by Annie Turnbo Malone. In 1906 she married Charles Joseph Walker and began to trade under the name Madam C. J. Walker.

She sold *Madam Walker's Wonderful Hair Grower* from door to door and by mail order from Denver, Colorado. Her daughter, A'Lelia, managed the mail-order work. In 1908 the business moved to Pittsburgh, and in 1910 to Indianapolis, where she built a factory and her headquarters. She trained women as sales agents and a school was named for her daughter. Later she formed a company named for herself, in which she remained the sole shareholder. Her case shows that one owner can build a large business, and that the owner carries both the gain and the risk.

REVIEW QUESTIONS

7.1 Name the five forms of business ownership shown in the family

Four common mistakes about the sole proprietorship, each with its correction.

The business and the owner are not separate for debts.

Control does not remove the need for records and care.

A licence is not optional because the owner is the only person involved.

A hair-care business of the early 1900s was built by one owner.

She made one-owner trade grow by selling door to door and by post.

The questions below ask the

A WORKED CASE: MEGHNA AND SONS COUNTS ITS FOREIGN DEALINGS

This worked case applies the chapter to one set of records. It has five parts: the situation, the question, the reasoning, the conclusion and a check. Many students find the conversion step confusing, because two kinds of money appear together. The plan is to keep the two kinds apart until the last step.

SITUATION

Case file, illustrative. Foreign dealings 2026, at an illustrative rate of Tk 120 per US dollar. On 10 March 2026 Meghna and Sons imported 800 English-language titles worth USD 18,000 (Tk 2,160,000). It sold 150 Bangla titles to a Kolkata bookseller worth USD 2,500 (Tk 300,000).

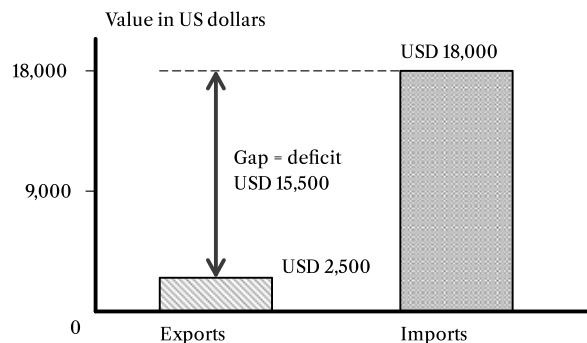
QUESTION

What is the shop's balance of trade for these dealings? Give the answer in US dollars and in taka.

REASONING

First we classify. Books are goods, so both dealings are visible trade, and both count in a balance of trade. The sale of Bangla titles is an export, and the purchase of English-language titles is an import. Second, we subtract in one kind of money only. Exports are USD 2,500 and imports are USD 18,000. The balance is 2,500 minus 18,000, which is minus 15,500. The minus sign means that imports are larger, so there is a deficit of USD 15,500. Third, we convert. USD 15,500 times Tk 120 is Tk 1,860,000.

The figure shows the same facts as two columns. Read it as follows. The vertical line on the left is a scale of value in US dollars, from 0 at the bottom to 18,000 at the top. The left column is the shop's exports, and the right column is its imports. The height of each column is its value. The gap between the tops of the two columns is the balance of trade. When the right column is taller, the balance is a deficit.



A worked case applies the ideas of this chapter to the shop's own records.

The shop's foreign dealings of 2026 are recorded in dollars and in taka.

The question asks for the shop's balance of trade, in dollars and in taka.

Reasoning proceeds in three steps: classify, subtract in dollars, then convert.

The figure draws the shop's exports and imports as two columns, so the gap shows the deficit.

invite the public, and its shares are often traded on a stock exchange. Both carry limited in their names. The public kind gains money and an easy exit for owners, but it accepts more rules and a greater risk of losing control.

* * *

9.3 FORMING A COMPANY

Suppose the three partners of Meghna and Sons decide to form a company. They cannot do it by agreement among themselves alone, as partners can form a partnership by a deed. The law requires a sequence of steps and documents, and each step has a purpose. The figure that follows shows the sequence as a flow of five boxes. Read it from the first box to the last; a box with a dashed outline applies only to a public company.

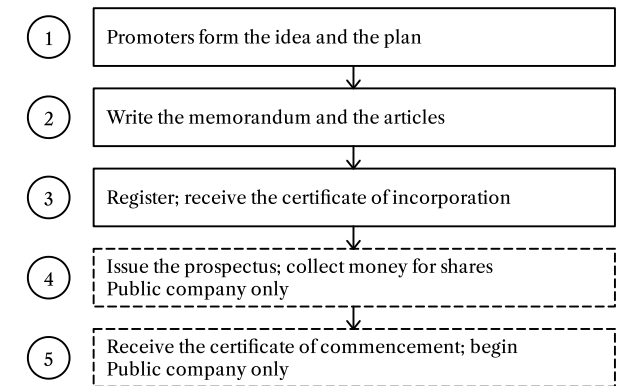


FIG. 9.2. Five Steps from idea to commencement of business

The first step belongs to the promoters, the people who conceive the idea and begin the work of forming the company. They choose the name, find the first money, prepare the documents and pay the early costs. In the case file, the three partners would act as promoters. Promoters are not owners of the company by that fact alone; they become owners only when they take shares.

The second step is to write two founding documents. The **memorandum of association** is the founding document that states a company's name, objects, registered office, liability and share capital. The objects are the purposes for which the company exists, and the registered office is its official address. The liability clause says that the owners' liability is limited. The share capital clause states the authorised capital, which in the case file is Tk 10,000,000.

The **articles of association** are the document that sets the company's internal rules, such as the duties of directors and the holding of meetings. Directors are the persons chosen to direct the affairs of the company. A private company uses its articles to

Promoters are the people who start the work of forming the company.

The memorandum states what the company is, in outline.

Memorandum of association. The founding document stating a company's name, objects, registered office, liability and share capital.

The articles state how the company is run inside.

Articles of association. The document setting the company's internal rules,

The balance of trade is only one part of a larger record. The **balance of payments** is a record of all money flowing into and out of a country over a period. It includes payment for goods and for services. It also includes money sent home by workers abroad, and money that moves for investment and loans. A Bangladeshi worker who sends money to family in Dhaka adds to the money flowing in. A Bangladeshi business that pays a supplier abroad adds to the money flowing out.

Why keep two records? The balance of trade is easy to count, because customs officers see the goods. The balance of payments is wider. It shows whether the country as a whole receives more foreign money than it pays out. The two can point in different directions: a country with a deficit in goods may still receive much money from workers abroad. Owners and managers watch both, because a shortage of foreign money can make imported inputs harder to buy.

To add or compare payments made in the money of different countries, we need one more tool. The **exchange rate** is the price of one country's money measured in another country's money. In this book we use an illustrative rate of Tk 120 per US dollar.² At that rate, USD 10 equals Tk 1,200, because 10 times 120 is 1,200. Tk 600 equals USD 5, because 600 divided by 120 is 5.

Rates move. Suppose an importer must pay USD 100 for a book. At Tk 120 per dollar the book costs Tk 12,000. If the rate rises to Tk 130 per dollar, the same book costs Tk 13,000. The taka now buys fewer dollars, so imports cost more taka. An exporter gains in the opposite way: each dollar earned abroad now brings Tk 130 instead of Tk 120. A customer at home sees the rise in the price of imports, and the owner of an exporting business sees the rise in earnings.

Before moving on. Visible trade is goods, and invisible trade is services. The balance of trade compares exports and imports of goods, while the balance of payments records all money flowing in and out. The exchange rate lets us convert one country's money into another's, so that we can compare totals.

* * *

12.3 REGULATING TRADE

Left alone, trade follows prices. Governments seldom leave it alone. They control trade for several reasons: to protect local businesses from cheaper foreign goods, to raise money from taxes, to keep out unsafe goods, and to keep supplies of essential goods steady. The tools differ from country to country, and rates change often, so we name the country whenever a rule depends on place. The two oldest tools are the tariff and the quota.

A **tariff** is a tax charged on imported goods, which raises their price. Suppose a pair of shoes costs Tk 2,000 when it reaches the port, and the tariff is 10 per cent. The tax is 10 per cent of Tk

² Real exchange rates differ from bank to bank and change from day to day. The rate of Tk 120 per US dollar is chosen for easy arithmetic, not as a record of any day.

The balance of payments records every flow of money across the border, not goods only.

Balance of payments. A record of all money flowing into and out of a country over a period.

The two records answer different questions about the same country.

An exchange rate lets us compare money from different countries.

Exchange rate. The price of one country's money measured in another country's money.

When the exchange rate changes, the price of imports and the earnings from exports change.

The section ends with the main points on measuring foreign trade.

Governments regulate trade to protect local producers, raise money and keep supplies steady.

A tariff is a tax on imported goods, so it raises their price.

Tariff. A tax charged on

WORKED CASE: DIVIDING THE CAPITAL OF MEGHNA AND SONS LIMITED

This section applies the ideas of the chapter to the running case. We follow five parts in order: the situation, the question, the reasoning, the conclusion and a check. The aim is to see how the ideas work on real figures; it is not a model answer to any question.

Case file, illustrative. *Situation.* The proposal of 15 September 2026 would convert Meghna and Sons into Meghna and Sons Limited, with authorised capital of Tk 10,000,000 in 1,000,000 shares of Tk 10. It would issue 410,000 shares to the partners for their existing capital: Nurul 250,000, Rafiq 100,000 and Tariq 60,000 shares, a total value of Tk 4,100,000.

Question. What is each partner's holding worth, what fraction of the issued shares does each hold, and what does this mean for control and for risk?

Reasoning. We begin with value. Each share has a value of Tk 10, so we multiply the number of shares by Tk 10. Nurul: $250,000 \times \text{Tk } 10 = \text{Tk } 2,500,000$. Rafiq: $100,000 \times \text{Tk } 10 = \text{Tk } 1,000,000$. Tariq: $60,000 \times \text{Tk } 10 = \text{Tk } 600,000$. The three values together are $\text{Tk } 2,500,000 + \text{Tk } 1,000,000 + \text{Tk } 600,000 = \text{Tk } 4,100,000$, which agrees with the case file.

Next we find each fraction of the issued shares, 410,000 in all. Nurul: $250,000 \div 410,000$ is about 61.0 per cent. Rafiq: $100,000 \div 410,000$ is about 24.4 per cent. Tariq: $60,000 \div 410,000$ is about 14.6 per cent. The three fractions add to 100 per cent. The issued shares are 410,000 of the 1,000,000 authorised, which is 41 per cent, and 590,000 shares, with a value of Tk 5,900,000, remain unissued.

Now we read the figures. Nurul holds more than half of the issued shares, so if each share carries one vote, Nurul alone could carry an ordinary vote at a meeting; Rafiq and Tariq together hold about 39.0 per cent. As for risk, each partner would lose at most the money paid for the shares, and not personal wealth, if the company failed. The case file does not say which kind of company is intended. Three owners with no plan to invite the public fit a private limited company.

Conclusion. The partners would hold shares worth Tk 2,500,000, Tk 1,000,000 and Tk 600,000, with about 61.0, 24.4 and 14.6 per cent of the issued shares. Their loss would be limited, and the company would continue if one of them left. *Check.* $410,000 + 590,000 = 1,000,000$ shares, and $\text{Tk } 4,100,000 + \text{Tk } 5,900,000 = \text{Tk } 10,000,000$, which is the authorised capital. The check passes.

* * *

SUMMARY

A company is a business whose capital is divided into shares and which the law treats as a separate legal person. This gives it a continuing life, the power to own and contract, and limited liability for

The worked case follows the order Situation, Question, Reasoning, Conclusion, Check.

The situation restates the case file in full.

The question asks what each partner would hold, and what it means.

Reasoning step one: the value of each holding is shares times Tk 10.

Reasoning step two: each fraction is the holding divided by 410,000.

Reasoning step three: the fractions show control, and limited liability shows risk.

Conclusion and check: the figures agree, and the form fits.

Summary of the chapter in a few lines.

Why do nations trade at all? The first reason is that countries differ. Bangladesh has a large workforce and fertile river land, and the hills of Sylhet have the rain that tea needs. Other countries have oil, copper or wide plains for wheat. No country holds every resource. The second reason is skill and scale. A country that makes one good in large numbers learns to make it cheaply, and customers abroad then benefit from the lower price.

The opening puzzle asked whether a country that is best at everything can still gain. We answer it first with two neighbours, Rina and Salim, who each work for one day. Rina is better at both jobs, but she is much better at growing rice than at sewing shirts. The table shows what each can produce in a full day if they do only one job.

WHAT EACH NEIGHBOUR CAN PRODUCE IN ONE FULL DAY

NEIGHBOUR	RICE, IF ONLY RICE	SHIRTS, IF ONLY SHIRTS
Rina	8 kilograms	4 shirts
Salim	2 kilograms	2 shirts

Read one row at a time. Rina can grow 8 kilograms of rice or sew 4 shirts in a day, but not both. For Rina, one shirt costs 2 kilograms of rice, because 8 divided by 4 is 2. For Salim, one shirt costs only 1 kilogram of rice, because 2 divided by 2 is 1. Salim is worse than Rina at both jobs. Yet he loses less rice for every shirt he sews.

The idea now has a name: comparative advantage. A person or a country has a comparative advantage in a good when making it costs less of other goods than it costs others. Salim has the comparative advantage in shirts, and Rina has it in rice. David Ricardo, an English economist, set out this idea in 1817. Notice the rule: comparative advantage compares costs inside each country, not the skill of one country against another.¹

PAUSE AND CHECK 12.P1 Suppose Salim could grow 4 kilograms of rice or sew 2 shirts in a day. Would Rina and Salim still gain by trading? Explain.

Now test the gain. Let Rina grow rice and Salim sew shirts, and let them agree a price of 1 shirt for 1.5 kilograms of rice. If Rina made the shirt herself, it would cost her 2 kilograms of rice. By buying it, she pays 1.5 kilograms, so she saves half a kilogram. If Salim grew 1.5 kilograms of rice himself, he would lose 1.5 shirts. By trading, he gives one shirt, so he saves half a shirt. Both are better off. Any price between 1 and 2 kilograms of rice per shirt would work.

Economists call the benefit the gains from trade: more goods, lower prices and wider choice for customers. The owner of a business that exports reaches more customers. A customer who buys imports finds goods that no local business makes. Yet the gains are not shared evenly. An employee in an industry that faces cheaper imports may lose work, and moving to a new job takes time. Transport costs and delays also reduce the gain. For these reasons, governments often control trade, as section 12.3 shows.

¹ Economists use the phrase absolute advantage for being able to make a good with fewer workers or less time than others. Rina has an absolute advantage in both jobs, yet that does not decide who should do which.

Countries differ in resources and skills, so each can make some goods more cheaply.

Two neighbours show how trade helps even when one is better at everything.

Compare how much rice each neighbour loses for every shirt made.

A comparative advantage means a lower cost in other goods, not the best skill.

Both neighbours gain when they trade at a price between their two costs.

Trade brings gains to many people, but it can cost some workers their jobs.

9.3 A new public company prepares to invite the public to buy shares. List five things that its prospectus should tell the public.

9.4 A family partnership of five members wishes to bring in many small investors from the neighbourhood. Name the kind of company that suits it, and list the documents and steps it needs, in order.

9.5 Explain the separation of ownership and control, and give one way in which it may be reduced.

Two earlier ideas are needed before this chapter.

Poor buyers in a small town pay too much for poor goods.

The people discover that together they could do what none can do alone.

Neighbours who lend tools to one another already practise the idea in a small way.

A cooperative society is owned by its members, who join to meet a common need.

Cooperative society. A business owned and run by members who join to meet a common need, each with one vote.

Society. Word in use. In daily life, all the people of a country or a community. In business, a form of business owned by its members, as in cooperative society.

Member. Word in use. In daily life, a person who belongs to a club or group. In

You will need two earlier ideas. The first is the list of ownership forms: see Chapter 7, 'Forms of Business Ownership and the Sole Proprietorship', section 7.1 'Choosing an Ownership Form'. The second is the company, which this chapter uses as a contrast: see Chapter 9, 'The Joint Stock Company', section 9.1 'What a Company Is'.

Imagine a town where the only shop belongs to one trader. The trader buys flour in small quantities, so he pays a high price. He sells it at a higher price still, and he mixes sand into the sack to add weight. The townspeople are poor, and the nearest other shop is a day's walk away. They have no choice but to buy from him. Each family knows it is being cheated, and each family is too weak to change anything alone.

Then one evening some of them meet and make a calculation. If thirty families each gave a small sum, they could buy a whole sack of flour at once, at a lower price, and sell it to themselves at fair weight. No outside owner would take a profit from them. Whatever remained after the costs could return to the families. The idea is simple to state and difficult to carry out: who would own the shop, who would decide, and who would share the gain? This chapter shows how a group of people answers these questions on equal terms, and it ends with a real shop opened by working people in England in 1844.

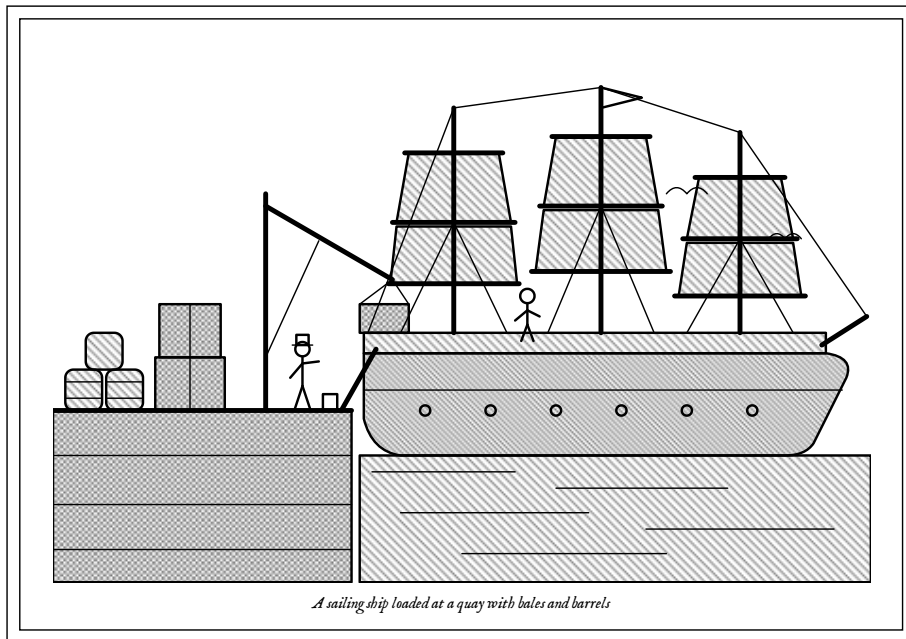
10.1 THE COOPERATIVE IDEA

Before we study the business form, think of a daily example. Several neighbours need a ladder, but none uses it more than twice a year. They buy one ladder together and keep it in a shared place. Each neighbour pays a fair part and each may use it. No one makes a profit from the others. The arrangement works because every person has the same need and every person has the same claim. A cooperative society is a larger and more formal version of such an arrangement.

A **cooperative society** is a business owned and run by members who join to meet a common need, each with one vote. A *member* is one of these owners. For example, thirty families who own a flour shop together, and who also buy their flour from it, form a cooperative society. The word *society* has a special meaning here: it names a business form and does not mean the people of a country. A cooperative differs from the forms of the earlier chapters in its purpose. It exists to serve its members, and it does not exist to enrich outside owners.¹

¹ Recall: the ownership forms, Chapter 7, section 7.1 'Choosing an Ownership Form'. A cooperative belongs to the private sector, because individuals own it and government does not.

² Recall: the company as a contrast, Chapter 9, section 9.1 'What a Company Is'. Shares in a company carry votes in proportion to the number held.



CHAPTER XII

Foreign Trade

Why does a country buy what it could make itself?



This chapter explains why nations buy and sell goods across their borders, how that trade is counted and recorded, and how governments control it. It follows one bookshop in Dhaka that buys books abroad and sells books abroad, and it ends with a famous argument from 1817.

and many losses have causes that better management and clearer aims could reduce.

IN HISTORY

In 1933 the United States was suffering the Great Depression. The Tennessee Valley, in the south-east of the country, was poor, and private power companies had brought electricity to very few of its farms. For years, Congress had debated whether to sell or keep a government dam site at Muscle Shoals, on the Tennessee River in Alabama. Senator George Norris of Nebraska fought to keep it under public control.

On 18 May 1933 President Franklin Roosevelt signed the Tennessee Valley Authority Act. It created the Tennessee Valley Authority as a federal corporation. The act gave it tasks: to control floods, to improve navigation on the river, to replant forests, to develop farming and industry, and to supply cheap electricity. Its powers belonged to a board of three directors, whom the President appointed with the approval of the Senate. In its early years, money voted by Congress paid for its work, and a government audit office examined its accounts. Roosevelt described it as a body with the power of government and the flexibility of a private business. By 1944 it had built 16 dams.

The story shows a public corporation at work. It also shows several reasons for state ownership: large capital, the development of a poor region and service to people that private owners had not reached. The Authority was often at the centre of political argument, which reminds us that control and accountability matter.

REVIEW QUESTIONS

11.1 Match each activity to the most suitable ownership form: (a) a small street tea stall, (b) a national railway, (c) a large paper mill that needs many investors, (d) a group of farmers who sell milk together.

11.2 A government runs its post service as a branch of a ministry. Later it moves the service to a separate body, set up by law, with its own managers and accounts. Name each arrangement.

11.3 A clinic buys 2,000 bottles of medicine a year. A state company charges Tk 85 a bottle, and a private supplier charges Tk 92. Find the yearly saving from the state company.

11.4 A town's water supply needs very large capital, serves every family and must not be priced beyond poor families. Which ownership form suits it? Give one reason for your choice and name one risk of that choice.

In 1933 the United States created a public corporation for one river valley.

The act of 18 May 1933 gave the new body wide tasks and a board of three.

The story shows a public corporation, the reasons for state ownership and the need for accountability.

A producer cooperative is owned by the people who make the goods.

A marketing cooperative sells the products of its members together.

Marketing cooperative. A cooperative that sells its members' products together to obtain better prices.

A credit cooperative lends money to its members from their own savings.

Four kinds can be compared by who the members are and what they gain.

The kinds can be combined, and many cooperatives serve more than one need.

Before moving on: this section

most familiar to ordinary people, and it is often the first one that a community forms.

The second kind is the *producer cooperative*, owned by people who make goods or provide work together. A group of weavers may buy looms together and work in a shared workshop. A group of fishing families may own boats together. The members are both owners and workers, so they share the decisions and the income. This kind gives skilled people a way to work for themselves without large capital. Its limit is that the members must agree on how work and pay are shared, and disagreements can be difficult to settle.

A **marketing cooperative** is a cooperative that sells its members' products together to obtain better prices. For example, a hundred small farmers who each grow a little jute may sell separately and accept the price a trader offers. If they sell together, they offer a large amount, they can wait for a better price, and they can bargain with many buyers. The cooperative collects the product, grades it, stores it and sells it. Each member receives a payment in proportion to the amount delivered. Farm marketing is the commonest use of this kind.

The fourth kind is the *credit cooperative*, which is a society where members save together and lend to one another. Each member deposits small savings. The society lends from the pool to members who need money for a shop, a field or a school fee, and it charges a modest rate. Because the members know one another, the society can judge who is likely to repay. Poor people who cannot obtain a loan from a bank often find a credit cooperative their only source of fair credit.

A table can show the four kinds side by side. Read each row as one kind: the first column names it, the second names who the members are, and the third states what they gain.

FOUR KINDS OF COOPERATIVE, THEIR MEMBERS AND THEIR GAIN

KIND	MEMBERS ARE	WHAT MEMBERS GAIN
Consumer cooperative	People who buy goods	Fair prices and honest quality
Producer cooperative	People who make goods	Shared work, shared income
Marketing cooperative	People who grow or make goods for sale	Better prices for their products
Credit cooperative	People who save and borrow	Fair loans from shared savings

The kinds are not rigid. A village society may sell seeds to its farmers, market their crops and lend them money for the next season. In such a case it serves the farmers as consumers, as marketers and as borrowers. The law of each country may require each society to state its purpose when it registers, and a society that wishes to change its purpose may need new permission. The name of the kind tells the reader what the members chiefly need, and nothing more than that.

Before moving on A consumer cooperative is owned by those

government company lies in the middle zone, because government holds most shares but private persons may hold a few.

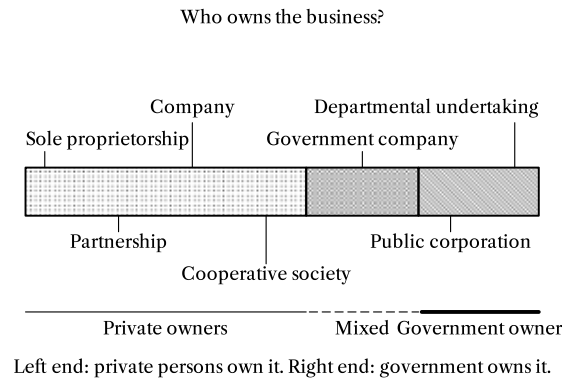


FIG. 11.1. *Forms of business ownership from private to government*

Each form has a main strength. The sole proprietorship gives quick decisions and full control to one person. The partnership adds capital and skill but also shared liability. The company raises large capital from many investors and limits their risk, but it needs more rules and reports. The cooperative society serves its members and gives each one an equal voice. The state enterprise serves the public and can raise very large capital, but it may suffer from slow decisions and unclear aims. No form is best for every task.

To choose between forms, ask four questions. How much capital is needed, and from how many people? How much risk can the owners bear? How much control do they wish to keep? Is the aim profit or service? A small shop with modest capital suits a sole proprietorship. A larger business that needs many investors suits a company. Farmers who wish to sell together suit a cooperative society. An essential service for the whole nation suits a state enterprise.

Before moving on. The five forms differ in owner, liability, life and control. Private forms aim at profit or at the benefit of members. State enterprise aims chiefly at public service.

WORKED CASE: CHOOSING A PAPER SUPPLIER

A worked case applies an idea to a situation. It has five parts: Situation, Question, Reasoning, Conclusion and Check. We use the supplier comparison of Meghna and Sons.

Situation. A state-owned press offers paper at Tk 520 a ream with an average delivery of 18 days. A private supplier offers it at Tk 560 a ream with an average delivery of 6 days. The shop buys 3,000 reams a year.

Question. Is the saving from the state press worth the longer wait?

Reasoning. First, find the yearly cost from each supplier. The

Each form has its own main strength.

The choice of form depends on capital, risk, control and purpose.

The fourth section ends with a short recap.

A worked case applies the chapter to the supplier comparison in five parts.

The situation states the prices, the quantity and the delivery times.

The question asks whether the lower price is worth the slower delivery.

The reasoning measures the

The committee manages, and members check its work.

What remains after costs is the surplus, and a cooperative shares it among members.

Surplus. In a cooperative, what remains after costs, shared among members instead of paid to outside owners.

The surplus is divided by rule, and part of it is kept for the society.

A member has duties to the society as well as rights from it.

A cooperative has real merits and real limits.

Cooperatives help farmers sell their crops for a fair price.

The committee has duties as well as powers. It keeps the accounts, admits new members, makes sure the society obeys the law and its own rules, and reports to the members at the meeting. Members may remove a committee that fails them. This arrangement gives the members real control, though it depends on their taking part. A society whose members never attend meetings may become one that a few committee members control, and the original idea of equal ownership is weakened.

The business must also pay its way. The money received from sales, less the cost of goods, wages, rent and other expenses, leaves an amount at the end of the year. In a cooperative this amount is called the **surplus**, which is what remains after costs, shared among members instead of paid to outside owners. Many writers use the word *surplus* and not *profit* because the aim of the society is not to make money from the members. A surplus arises when the society charges members a little more than its costs, or sells their goods for a little more than it paid.

The members decide at the general meeting what to do with the surplus. Four uses are common. Part is kept in a reserve to meet future losses and to grow the society. Part is paid as a *dividend*, which means a payment shared out among members, in many cooperatives in proportion to the amount each member bought or sold through the society. A limited interest may be paid on shares. Part may be spent on education or on the community. A company pays its profit in proportion to shares; a cooperative pays its surplus in proportion to use.

Rights and duties go together in a cooperative. A member has the right to vote, to be told how the society is doing, to receive a fair share of the surplus and to stand for election to the committee. A member also has duties: to pay for the shares agreed, to obey the rules, to deal with the society in good faith, and to treat other members fairly. A person who takes the benefits but neglects the duties harms every other member, because the society belongs to all of them together.

What are the merits and limits of the form? Its merits are fairness, since each member has one vote; protection for weak buyers and sellers; limited liability; and a purpose that serves members. Its limits are that it may raise less money than a company, because members are often poor and the number of shares each may hold is restricted; that decisions may be slow when many members must agree; that managers may lack skill or the incentive to work hard; and that members may lose interest. The form suits people with a shared need, and it suits less well a business that needs very large sums.

One field deserves a final note. Small farmers face a weak position when selling crops. Each farmer has only a little to sell and needs money quickly, so the trader sets the price. A marketing cooperative lets farmers collect, store and sell together, and often gives them a place to borrow before the harvest. In several countries, including Bangladesh, governments encourage this use of cooperatives. The result depends on honest management and on members who deliver their crops to the society and not to the

PAUSE AND CHECK 11.P1 A body with its own managers and its own accounts is set up by a special law to run the national post service. Is it a departmental undertaking or a public corporation? Give your reason.

Every form of state enterprise raises two linked questions. The first is control: how does government direct the enterprise? The second is accountability: how does the enterprise answer for its use of public money? Government controls through the minister, through the appointment of the board or the directors, through approval of the budget and through its power to give policy directions. Accountability runs the other way. The enterprise reports to the minister, the minister answers questions in the elected assembly, and an independent audit office examines the accounts. In Bangladesh that office is the Comptroller and Auditor General.⁴ Too much control makes managers timid. Too little accountability allows waste. A good arrangement balances both.

Before moving on. A departmental undertaking is part of a government department. A public corporation is a separate body set up by law, with its own managers and accounts. A government company is a company in which government holds most of the shares. Control and accountability must be balanced in all three forms.

11.3 JUDGING STATE ENTERPRISE

Is a state enterprise that makes a loss a failure? The answer depends on its purpose. A railway that carries a million people to work has value even if its tickets do not pay all its costs. State enterprises matter in many countries because they employ large numbers of people, supply essential goods, build roads and power lines, and sometimes earn revenue for government. A fair judgement therefore asks two questions. Did the enterprise serve its purpose? And did it do so at a reasonable cost?

The importance of state enterprise differs between countries. Where private capital is scarce, as in many developing countries, government may be the only owner able to raise the money for a large power station or a railway network. Where private capital is plentiful, government may prefer to let private owners build and to regulate them. For this reason, the share of the public sector in the whole economy varies widely. Citizens may also judge an enterprise by what it adds to the economy, such as jobs, supplies and connections, as well as by the profit that it reports.

Losses arise for several reasons. Government may fix prices low for social reasons, so that revenue cannot cover costs. Political orders may add staff that the work does not need or place a plant where it is not economical. Managers do not own the enterprise and do not lose their own money, so the incentive to save is weak. Decisions pass through many offices and take a long time. Where no competitor exists, no rival shows what a lower cost looks like.

Finally, aims may be unclear: a manager told to earn profit, serve
⁴ The Comptroller and Auditor General audits the accounts of government bodies. Other countries have a similar office under a different name.

Government must control its enterprises and also hold them to account.

The second section ends with a recap of the three forms.

The first test of a state enterprise is whether it serves its purpose, not only whether it earns profit.

The importance of state enterprise is greatest where private capital is scarce.

Losses have several causes, and not all of them are the fault of the managers.

* * *

SUMMARY

A cooperative society is a business owned and run by members who join to meet a common need, each with one vote. Cooperative principles guide it: open membership, control by members, fair sharing of the surplus and education. Four common kinds are consumer, producer, marketing and credit cooperatives. A society is registered by law, usually gives limited liability, and is governed by a general meeting and a committee. Its merits are fairness and protection for members, and its limits are small money and slow decisions.

THINK IT THROUGH

Questions 10.t1 and 10.t2 use the case file in the worked section. Questions 10.t3 and 10.t4 change the setting.

10.T1 Suppose the discount were 9 per cent and not 12 per cent on purchases of Tk 2,400,000. Find the discount in taka, and how many times it exceeds the Tk 10,000 paid for shares.

10.T2 The shop decides to hold 25 shares of Tk 1,000 and not 10. What is the most it can lose on shares, and how many votes does it have? Explain.

10.T3 Sixty jute farmers each sell about 400 kg to a trader who offers a low price. Describe how a marketing cooperative could help them, and name one thing that could go wrong.

10.T4 A cooperative of bakers wishes to borrow a large sum to buy a factory. Which features of the form help, and which limit the plan? What other form might the bakers consider?

WHERE PEOPLE GO WRONG

Mistake. A cooperative never makes a surplus. *Correction.* A cooperative must cover its costs and usually earns a surplus, which it shares by rule among members instead of paying it to outside owners.

Mistake. A member with more shares has more votes. *Correction.* Each member has one vote, whatever the number of shares held. This is the main difference from a company.

Mistake. A cooperative is a government business. *Correction.* A cooperative is owned by its members. Government may register it, inspect it or help it, but government is not its owner.

Mistake. Because every member has an equal voice, a cooperative cannot fail. *Correction.* A cooperative can fail through poor management, shortage of money or members who take no part. Equal votes protect fairness and do not ensure skill.

IN HISTORY

pay compensation to the former owners, but the terms differ from country to country.

Governments give several reasons for state ownership. The first is public service: some goods and services are essential, and government wishes everyone to have them at a price that people can pay. The second is capital: a dam or a railway needs very large sums and many years before it earns a return, and few private owners can wait so long. The third is security: a country may not wish a private owner to control its defence industry. The fourth is fairness: where only one supplier can economically run a business, such as a water network, a private owner could raise prices without fear of competition. The fifth is development: government may build in a poor region where private investors would not. The sixth is revenue and employment.

Not every field suits state enterprise. The fields most often chosen share some of the features above. They include defence, the post, railways, electric power, water supply and, in many countries, a part of banking. Fields where many suppliers compete and customers want variety, such as clothes or restaurants, are usually left to private owners. The line is not always sharp, however. The case file later in this chapter shows a government printing press that competes with private suppliers.

The reasons need testing in each case. A government that wishes to protect fair prices should ask whether competition could achieve the same result at lower cost. A government that wishes to develop a region should ask whether a grant to a private investor would work better than ownership. Ownership also brings costs: government must find the capital, accept the risk of loss and manage the business. A reason is therefore a starting point for judgement and not a proof.

The viewpoints of the people involved differ. A citizen hopes for service at a fair price. The government, as owner, hopes to meet national aims. A manager hopes for clear orders but may receive several aims at once: serve everyone, earn money and keep prices low. An employee often hopes for secure work. Later sections show how these hopes may conflict.

Before moving on. A state enterprise is a business owned or controlled by government, usually to provide essential goods or services. Nationalisation transfers a private business to government ownership. Governments own businesses to serve everyone, to find large capital, to protect security, to prevent unfair prices, to develop poor regions and to provide revenue and work.

11.2 FORMS OF STATE ENTERPRISE

Suppose that the government decides to run a national post service. It must choose how to organise it. Should the post office be a branch of a ministry, with the same rules as any government office? Or should it be a separate body that manages itself? The answer affects speed, freedom and accountability. Three forms are common, and we study them in order of increasing independence.

A **departmental undertaking** is a state enterprise run directly

Governments give six main reasons for owning businesses.

Some fields suit state enterprise better than others.

The reasons do not always hold, so government should test them in each case.

Viewpoints differ: the citizen, the owner, the manager and the employee want different things.

The first section ends with a recap.

Government can organise a business in three ways, which differ in independence.

A departmental undertaking

15.T2 A bakery earns a profit of Tk 400,000 a year and is asked to pay a trade body subscription of Tk 20,000 a year. Compare the fee with the profit, and say what else the owner should weigh.

WHERE PEOPLE GO WRONG

Many students believe that a company receives money every time its shares are traded. It does not. The company receives money only when it sells new shares. When owners sell to each other, the money passes between the owners.

A second error is to treat the stock exchange and the regulator as one body. The exchange is the organised market, and the regulator makes and enforces the rules for the exchange, the brokers and the companies. One runs the pitch, and the other acts as the referee.

A third error is to think that a regulator makes shares safe to buy. The regulator can prevent cheating and false information, but it cannot prevent the price of a share from falling. A buyer still takes a risk.

IN HISTORY

In New York, before 1792, brokers traded shares and public debt on the street, with few rules. On 17 May 1792, twenty-four brokers signed a short agreement, known as the Buttonwood Agreement, near 68 Wall Street. They agreed to trade with each other and to charge fixed commissions. The New York Stock Exchange traces its beginning to that agreement. In 1817 the group wrote a constitution, and in 1863 it took the name New York Stock Exchange.

The share market of Bangladesh has a younger and different story. The Dhaka Stock Exchange was incorporated on 28 April 1954, under the name East Pakistan Stock Exchange Association Limited, and began formal trading in 1956. Its name changed in later years, and it became the Dhaka Stock Exchange. The Securities and Exchange Commission was established in 1993, to watch over the market. Both stories show the same idea: a market of strangers needs a shared place and shared rules.

REVIEW QUESTIONS

15.1 Sort the following by their role, regulate, trade, promote or serve: the Securities and Exchange Commission, the Dhaka Stock Exchange, the Export Promotion Bureau, FBCCI, a stock broker.

15.2 A company sells 50,000 new shares at Tk 30 each, with a face value of Tk 10. Find the total raised, the face value part and the premium part, and name the market in which the sale takes place.

15.3 In the example of Question 15.2, an owner later sells 1,000 of these shares to another person for Tk 35 each. Which market is this, who receives the money, and does the company receive anything?

15.4 A foreign company wishes to build a factory to make goods for export in Bangladesh. Name one body or place that could help it

A company is paid in the primary market and not in the secondary market.

The exchange and the regulator are different institutions.

Investor protection does not guarantee a profit.

In 1792, twenty-four brokers in New York agreed to trade among themselves.

Dhaka's exchange began in 1954, as a place for the shares of a young country.

The shop bought far more from abroad than it sold abroad.

The deficit is explained by what the shop must stock, but the exchange rate needs watching.

A second route to the answer confirms that the result is sensible.

The summary lists the main ideas of the chapter in a few lines.

This case asks you to apply a tariff to a price on paper.

Many students think that a deficit in the balance of trade always means losing money.

CONCLUSION

Case file, illustrative. The shop's own balance of trade is a deficit of USD 15,500 (Tk 1,860,000).

The deficit does not signal failure. The shop must stock English-language titles that its customers want, and it earns the money to pay for them from sales inside Bangladesh. The owner should still watch the exchange rate. If the taka buys fewer dollars at the next order, the same books will cost more taka.

CHECK

Check by a second route. Convert each value to taka first. Imports are Tk 2,160,000 and exports are Tk 300,000. The difference is 2,160,000 minus 300,000, which is Tk 1,860,000. This equals the first answer. The sign is also sensible, because the shop bought 800 titles and sold only 150, and the purchase was worth much more than the sale.

* * *

SUMMARY

Foreign trade is buying and selling between countries. Exports are goods or services sold abroad, and imports are goods or services bought from abroad. Nations trade because they differ, and because each gains by making the goods that cost it least in other goods, which is comparative advantage. Visible trade is goods, and invisible trade is services. The balance of trade compares exports and imports of goods, while the balance of payments records all money flowing in and out. The exchange rate converts one country's money into another's. Governments regulate trade with tariffs, quotas, state enterprises and agreements. For Bangladesh, foreign trade earns foreign money and supplies goods that the country cannot easily make.

THINK IT THROUGH

A country makes few bicycles but imports many. An imported bicycle costs Tk 10,000 when it reaches the port, before any tariff. The government now charges a tariff of 20 per cent on imported bicycles. A local maker sells a similar bicycle for Tk 11,500.

12.T1 Find the tariff on one imported bicycle and the new price after the tariff.

12.T2 Before the tariff, which bicycle would a customer prefer? After the tariff? Say who gains and who loses.

WHERE PEOPLE GO WRONG

A common error says that a deficit in the balance of trade means a country is losing money. A deficit means only that the value of goods bought abroad is larger than the value of goods sold abroad. A country may import machines now in order to export more later

The first body in the Promotes box is not an office but a place. An **export processing zone** means a planned area with special rules and benefits to attract factories that make goods for export. For example, a foreign company that wishes to make shirts for export may build its factory in a zone, where the buildings, power and port links are ready, and where the paperwork is reduced. The benefits may include relief from some taxes and from some duties on imported machines and materials. Bangladesh has several zones, run by a government authority.⁴

A zone works because it removes a barrier that Chapter 12, in Section 12.3 'Regulating Trade', introduced: the duty on imported goods. A factory in a zone imports machines and materials, makes goods, and sends them abroad. If the factory had to pay duty on the machines and materials, its costs would be higher. The zone lowers those costs, and in return the country gains jobs, foreign money and skill. A limit exists: goods sold inside the country from a zone usually face the ordinary rules.

The second body in the Promotes box is the Export Promotion Bureau, a government body. It collects information on foreign markets, helps exporters to join trade fairs abroad, and gives guidance on the steps of Chapter 13. An exporter who is looking for a first customer abroad may begin with the Bureau. It does not buy or sell for the exporter; it guides and informs.

The last body of the Serves box is the Trading Corporation of Bangladesh, a state-owned trading business under the Ministry of Commerce. It was established on 1 January 1972, after the war of 1971, to ensure the supply of essential goods and industrial materials. It distributes essential goods to the public at fair prices, so that the market stays steady. It differs from the other bodies: it buys and sells goods itself, as a business does.⁵

Several other institutions complete the picture. Bangladesh Bank, the central bank, controls the supply of money and the banks that open the letters of credit of Chapter 13. The Bangladesh Standards and Testing Institution sets and tests standards of quality for goods. Government bodies for investment help new businesses, and in particular foreign investors, to begin. We name them so that a reader who meets them will know that they exist; this book does not study them further.

Before moving on. The map of the chapter has four boxes. The Securities and Exchange Commission regulates. The exchange and the brokers trade. The Export Promotion Bureau and the export processing zones promote. FBCCI and the chambers, together with the Trading Corporation of Bangladesh, serve. You should now be able to name one institution for each verb.

* * *

⁴ The zones are managed by the Bangladesh Export Processing Zones Authority. The list of zones and the benefits offered change with government policy.

⁵ This chapter's plan lists the body as TCCB. The established name and abbreviation of the state trading body is Trading Corporation of Bangladesh (TCB), and this book follows that name. The Corporation's duties have changed since 1972.

12.4 A customer in Dhaka imports a laptop priced at USD 500 at Tk 120 per US dollar. The tariff is 10 per cent of the taka price. Find the price in taka before the tariff, the tariff, and the total.

12.5 In your own words, explain why a doctor who types faster than her assistant should still leave the typing to him. Then link your answer to two countries.

An export processing zone is a planned area that attracts exporters.

Export processing zone. A planned area with special rules and benefits to attract factories that make goods for export.

Recall: tariffs and trade rules, Chapter 12, 'Foreign Trade', section 12.3 'Regulating Trade'.

A zone gives relief from tariffs, which the earlier chapter introduced.

The Export Promotion Bureau helps exporters find customers and information.

The Trading Corporation of Bangladesh trades for the State.

Other institutions also help: the central bank, standards and investment bodies.

Before moving on: the four groups of institutions.

Listing is a benefit, because it makes the shares easy to trade, and it is a duty, because the company must publish information and follow the exchange's rules.

A **regulator** means an official body that makes and enforces the rules for an industry or market. The word regulate means to control by rules. For example, a regulator of the food industry may decide that every packet must show its ingredients, and may punish a business that does not. In the share market of Bangladesh the regulator is the Bangladesh Securities and Exchange Commission. The law of 1993 established it.²

The Commission performs three main tasks. It examines and approves a company's offer of shares to the public, including the prospectus, before the offer is made. It supervises the exchanges and licenses stock brokers and other market professionals. And it investigates and punishes dishonest conduct, such as the use of secret information to trade before the public knows it. These tasks serve one aim, which is investor protection.

Investor protection is the name for the rules and acts that keep the money of investors safe from cheating and from false information. A prospectus that must be truthful is one example. The licensing of brokers is another. Rules that require a listed company to publish its accounts, and penalties for those who break the rules, are two more. Protection does not remove risk: it cannot stop the price of a share from falling, but it can stop a person from being deceived.

Now we can compare the two institutions. The exchange is the organised market itself: it provides the place, the trading system and its own rules for its members. The regulator stands above it, and above the brokers: it makes the national rules and enforces them on the exchange, the brokers and the companies. A useful picture is a football match. The exchange is the pitch and the teams that play on it, and the regulator is the referee together with the body that writes the laws of the game.

THE EXCHANGE AND THE REGULATOR COMPARED

FEATURE	STOCK EXCHANGE	REGULATOR
Main work	Provides the market where shares are traded	Makes and enforces rules for the market
Who deals with it	Brokers and listed companies	Exchanges, brokers and companies
Example in Bangladesh	Dhaka Stock Exchange	Bangladesh Securities and Exchange Commission

Read the table row by row. The first row says what each institution does. The second says who comes to it: brokers and companies come to the exchange, and the exchange, brokers and companies all answer to the regulator. The third row names the institution in Bangladesh. If you keep the football picture in mind, the rows are easy to recall.

PAUSE AND CHECK 15.P3 A broker is accused of using secret inform-

² The Bangladesh Securities and Exchange Commission was established on 8 June 1993 under the Bangladesh Securities and Exchange Commission Act, 1993.

A regulator makes and enforces the rules of a market.

Regulator. An official body that makes and enforces the rules for an industry or market.

The Commission approves offers, licenses brokers and punishes cheating.

Investor protection means rules that keep strangers' money safe from cheating.

The exchange runs the market, and the regulator writes and enforces the rules.

The table lists work, those who deal with the institution, and an example.

You will need: Chapter 12 'Foreign Trade', section 12.2 'Measuring Foreign Trade', and section 12.3 'Regulating Trade'.

Trade measures and the rules of trade from Chapter 12 are the background of this chapter.

Strangers in two countries need a way to share the risk.

The chapter follows export, then import, then the papers, then barriers.

Export procedure is a chain of steps that spreads the risk between two strangers.

A bookseller in Dhaka receives a letter from a stranger in Kolkata. The stranger wishes to buy 150 books in Bangla and asks for a price. The two people have never met, they live in different countries, and each must act first. The bookseller fears sending the books and then waiting for money that never arrives. The stranger fears sending the money and then waiting for books that never arrive. If each waits for the other, no trade takes place.

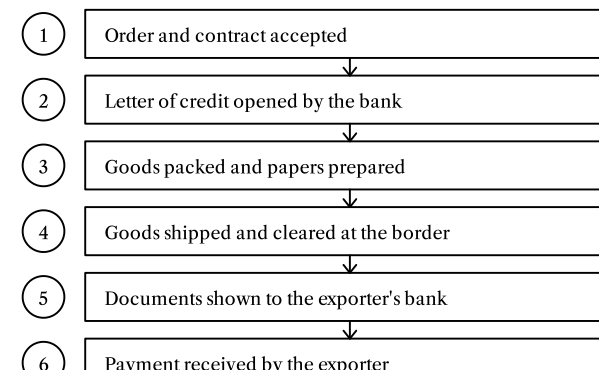
Who should go first? Neither person should have to trust the other, and that is the puzzle of this chapter. The answer is a fixed procedure, built over many centuries, in which banks, shipping lines and government offices stand between the two strangers and each confirm one small fact. A bank confirms that money will be paid. A shipping line confirms that goods were loaded. A customs office confirms that the law was obeyed. The procedure has many steps and many papers, and many students find the number of papers confusing at first. We therefore take the steps one at a time, and we use one running case to show how they fit together.

We begin with the export side, where the bookseller sells. We then turn to the import side, where a business buys from abroad. We study the papers that move with the goods, and we end with the barriers that block exporters and the ways Bangladesh helps them. The terms Foreign trade, Export and Import come from Chapter 12 and we use them without defining them again.

* * *

13.1 EXPORT PROCEDURE

Export procedure means the steps that a seller follows to send goods to a customer in another country and to receive payment. In this book the person who buys is called the customer; other books use the words buyer or client for the same person. The chain has four main parts: the order and contract, the letter of credit, shipping and clearing, and payment. The figure that follows shows the chain as a flow of six boxes. Read it from the top box to the bottom box; each arrow means that the next step may begin only when the previous step is complete.



PAUSE AND CHECK 15.P2 In the example of Rina, who receives money in the primary sale of 100 shares, and who receives money when Rina sells her 10 shares?

Why do we need the secondary market, if the company receives nothing from it? The reason is trust. A stranger gives money for a share more readily if the stranger knows that the share can be sold again, as the student could sell the bicycle. Without a secondary market, a person who needed money back in a hurry would have no way to leave the company. The company would then find it difficult to sell new shares in the primary market. The two parts support each other.

Before moving on. You should now be able to say: in the primary market a company sells new shares and receives the money; in the secondary market owners sell existing shares to each other and the company receives nothing. One exception is worth noting: a company may later buy back or issue more shares, but each such act is a new sale and has to be considered on its own.

A company reaches the primary market in a special way. An **initial public offering** means the first time a company sells its shares to the public, so that they can later be traded. For example, a family company that has never offered shares to strangers, and now does so, makes an initial public offering. The words *public offering* are often shortened to the letters IPO. An IPO is a single event, and it happens once; the sales that come after it are the sales of the secondary market.

The company must prepare carefully before it makes the offer. Chapter 9, in Section 9.3 'Forming a Company', taught the *prospectus*, the published invitation that describes the company and its risks. An IPO needs one, and the prospectus must be truthful, because strangers will rely on it. We will see in Section 15.2 that an official body examines the offer before the public sees it.

Every offer states a price for each share, and the price has two parts that need names. The *face value* is the amount printed on the share as its nominal value, for example Tk 10. The *premium* is the extra amount above the face value that the public is asked to pay, because the company is worth more than the face value shows. Suppose a share has a face value of Tk 10 and an offer price of Tk 25. The premium is Tk 25 - Tk 10 = Tk 15.

Case file, illustrative. The plan of 20 October 2026 states that Meghna and Sons Limited considers an initial public offering of 200,000 shares at Tk 25 each, with a face value of Tk 10 and a premium of Tk 15. The offer would raise Tk 5,000,000. The plan is illustrative only.

PAUSE AND CHECK 15.P1 In the case file, which part of the price of Tk 25 is the face value, which part is the premium, and which market does the sale belong to?

An IPO has limits that a careful reader should know. Not every offer sells all its shares, and a company may withdraw if the response is weak. A buyer takes a risk, because the price of a share can rise or fall after the offer, and the buyer may lose money. The law of limited liability, from Chapter 9, means that the buyer can

Why the secondary market matters: owners can leave without harming the company.

You should now be able to say how the two markets differ.

An initial public offering is a company's first sale of shares to the public.

Initial public offering. The first time a company sells its shares to the public, so that they can later be traded.

GO SLOWLY HERE.

The offer needs a prospectus, which states the company and the risks.

Recall: the prospectus, Chapter 9, 'The Joint Stock Company', section 9.3 'Forming a Company'.

An offer states a price per share, made of a face value and a premium.

The case file states the plan for an offer of 200,000 shares at Tk 25.

An IPO does not guarantee success, for either the company or the buyer.

allows. The bank compares each paper with the letter. If every detail matches, the bank sends the papers to the customer's bank and receives payment, which it then passes to the exporter. If one detail fails, the bank may refuse, and the exporter must correct the paper before the time expires. A refusal is a delay, and a delay of a few days can cost a sale.

Consider the situation from each viewpoint. The exporter wants payment with little risk of refusal. The customer wants to be sure that goods of the right kind arrive. The banks want to earn a fee and to avoid paying for a faulty set of papers. The procedure gives each person a fair share of safety, and the cost is time and paper-work.

Before moving on. An export begins with an order and a contract, and the exporter must hold the right registration. A letter of credit then gives the exporter a bank's promise to pay when stated papers are shown. The goods are packed, shipped and cleared at the border. The exporter shows the papers to the bank, and the bank pays only if they match the letter exactly.

* * *

13.2 IMPORT PROCEDURE

Import procedure is the set of steps that a business follows to buy goods from a supplier in another country and to receive them. It mirrors the export procedure, because every export from one country is an import into another. The steps change because the person who buys now carries the legal duties of the receiving country. Suppose the Dhaka bookseller now buys printing paper from a supplier abroad. The bookseller is now the importer, and the supplier is now the exporter.

The first part is import registration and licence. A government office keeps a record of businesses that are allowed to import, and a business registers with it before it buys abroad. Some goods, such as certain chemicals or foods, need a further licence or permission, because the state wishes to control them. A business that ignores this step may find its goods held at the port. The rules differ from country to country, and in Bangladesh they have been changed several times, so a business should confirm the present rule before it places an order.²

The second part is the indent and the letter of credit. An *indent* is a written order, sent to a foreign supplier, that lists the goods, the quantity, the price and the terms. It is the importer's side of the export order of Section 13.1. The importer then applies to its own bank to issue a letter of credit in favour of the supplier. The bank examines the importer's finances, and often requires the importer to deposit part of the amount, because the bank takes a risk when it promises to pay.

Nothing in the letter of credit has changed; only the point of

² In Bangladesh the importer's registration is an import registration certificate, and the rules on licences and on restricted goods are published by the government and revised from time to time.

The risk is shared among banks, carriers and officials.

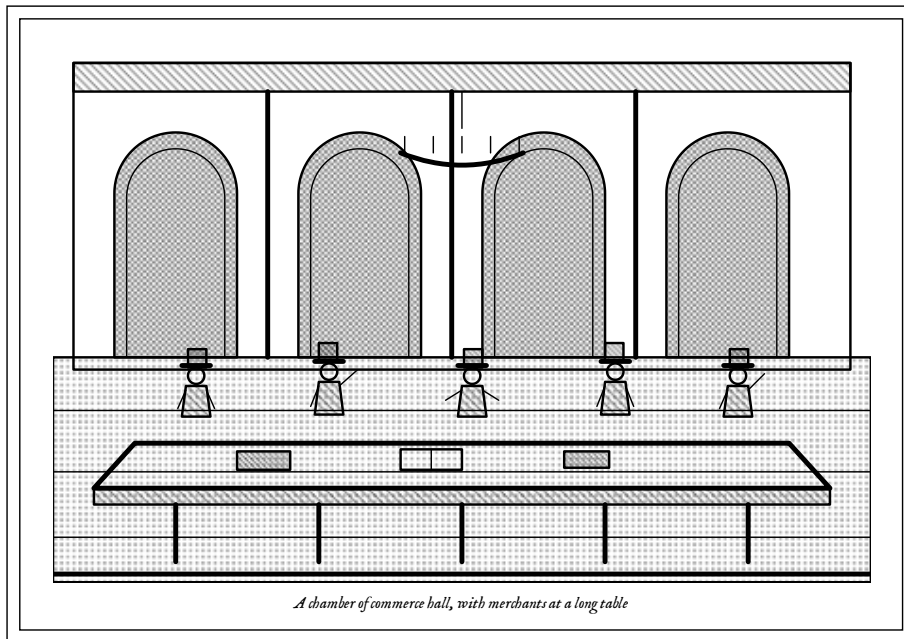
Before moving on: the export chain in one paragraph.

Import procedure is the mirror of export, followed by the business that buys.

An importer must be registered and, for some goods, hold a licence.

An indent is a written order sent to the foreign supplier.

Recall: the letter of credit,



CHAPTER XV

Institutions that Promote Business in Bangladesh

Who stands behind a business that wishes to grow?



A business that wishes to grow needs money, rules and friends. This chapter describes the share market, where a company can raise money from the public, and the regulator and exchange that keep that market orderly. It then describes the bodies that help trade and industry in Bangladesh, from the chambers of commerce to the zones built for exporters. The chapter moves slowly, because there are many names to keep apart.

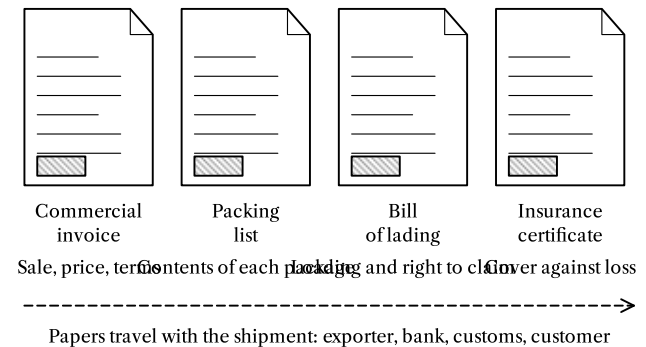


FIG. 13.2. *The main papers that travel with a shipment*

The commercial invoice is the seller's bill for the shipment.

Commercial invoice. The seller's bill listing goods, quantity, price and terms for a shipment.

The bill of lading is the carrier's receipt, contract record and title.

Bill of lading. A document from a shipping line that receipts goods, states their carriage terms and shows who may claim them.

A bill of lading is the key to the goods, and it also proves loading.

A charter party is a contract that hires a ship, not a space on one.

Charter party. A contract by which a shipowner hires a whole ship or part of it to a merchant.

A packing list tells what is in each package.

The first paper is the **commercial invoice**, which means the seller's bill listing the goods, the quantity, the price and the terms for a shipment. It is prepared by the exporter. For example, the invoice for the books of the running case lists 150 titles, the price of each, the total and the currency. The customs officer uses it to value the goods, and the bank uses it to check the letter of credit. An invoice that disagrees with the letter is a common reason for refusal.

The second paper is the **bill of lading**, which means a document from a shipping line that receipts the goods, states their terms of carriage and shows who may claim them. It does three jobs. It is a receipt: the line confirms that it received the goods in a stated condition. It records the terms of the contract of carriage between the exporter and the line. And it is a document of title: the person who holds the proper original copy may claim the goods at the destination. This last job explains why banks treat the bill of lading with great care.

Imagine that the goods are locked in a warehouse at the destination port, and the bill of lading is the key. The customer cannot collect the goods without it, and the bank will not release the payment without it. The date written on the bill also proves the date of loading, which the letter of credit often fixes. A bill of lading marked as received in poor condition is called *unclean*, and a bank usually refuses it. The exporter should therefore check that the packing is sound before the carrier signs.

The third paper applies when goods fill a whole ship, or a large part of one. A **charter party** means a contract by which a shipowner hires a whole ship, or part of it, to a merchant. Two kinds are common: a voyage charter hires the ship for one journey, and a time charter hires it for a period. A small exporter of books sends packages with a shipping line that carries the goods of many customers, and so needs a bill of lading but not a charter party. A bulk trader of grain or oil may hire a ship under a charter party.

The fourth paper is the packing list. It describes each package:

The words of this chapter fit the history. The United States was Singer's home country, and Scotland, part of the United Kingdom, was a host country. In 1905 a British company, Singer Manufacturing Company Limited, was registered to run the Clydebank works, which made it a subsidiary of the American parent. Scotland gained jobs, skills and a famous factory. It also depended on decisions made in an office in another country, and the factory closed when those decisions changed.

REVIEW QUESTIONS

14.1 List three gains and three losses that a host country may experience when a multinational company opens a subsidiary there.

14.2 Suppose Larkspur sold books to Dhaka only by shipping them from London, and kept no office in Bangladesh. Would Bangladesh still be a host country for Larkspur? Explain.

14.3 A company with its headquarters in India buys 70 of every 100 shares of a garment company in Bangladesh. Name the parent, the subsidiary, the home country and the host country. What kind of investment is this?

14.4 A second order from Larkspur is for 500 books at list GBP 16. The trade discount is 25 per cent, and the rate is Tk 150 per GBP. Find the list value and the price after discount, in taka.

14.5 Explain, using the word control, why a company that only exports is not a multinational company.

The history shows each new word at work in one company.

These questions climb from a familiar case to a case that combines earlier ideas.

members to the government and help them to share knowledge. Chambers of commerce perform a similar task for businesses in general.

Before moving on. Tariffs, quotas, standards, delay and lack of finance are barriers to exports. A country can lower them through registration, finance, special zones and trade fairs. Government bodies, the central bank and trade associations each perform part of this work.

* * *

WORKED CASE: THE EXPORT FILE OF MEGHNA AND SONS

This section applies the chapter to the running case. We follow five parts in order: the situation, the question, the reasoning, the conclusion and a check. The aim is to see how the steps fit together on real dates and figures.

Case file, illustrative. *Situation.* An export file of Meghna and Sons records the sale of 150 Bangla titles for USD 2,500 (Tk 300,000). The order came from a Kolkata bookseller on 2 November 2026. The letter of credit was opened on 5 November 2026. The goods were packed on 12 November, shipped on 14 November, and the documents were taken to the bank on 15 November. Payment was received on 28 November 2026.

Question. Which step of Section 13.1 does each date mark? How many days passed between the steps? What price per title does the file give, and what exchange rate do its figures imply?

Reasoning. We begin by matching dates to steps. The order of 2 November is the export order and contract. The opening of the letter of credit on 5 November is the second step, and it came before any packing. The packing on 12 November and the shipment on 14 November belong to shipping and clearing. The presentation of documents on 15 November and the receipt of payment on 28 November belong to payment.

Next we count the days between each pair of dates. From 2 to 5 November is 3 days. From 5 to 12 November is 7 days. From 12 to 14 November is 2 days. From 14 to 15 November is 1 day. From 15 to 28 November is 13 days. The total is $3 + 7 + 2 + 1 + 13 = 26$ days, from the order to the payment.

Now we turn to the price. The file gives Tk 300,000 for 150 titles, so the price per title is $\text{Tk } 300,000 \div 150 = \text{Tk } 2,000$. The file also gives USD 2,500 for the same sale, so the figures imply an exchange rate of $\text{Tk } 300,000 \div \text{USD } 2,500 = \text{Tk } 120$ for each dollar. The file does not state a rate, so this is a value that follows from its two amounts.

Conclusion. The dates follow the order of the chain: order, letter of credit, packing, shipment, documents, payment. The books were not packed until the letter of credit was in the bookseller's hands, which is the protection that the letter exists to give. The longest wait, 13 days, came after the documents reached the bank. *Check.* The five waiting times add to 26, which equals the number

The worked case follows Situation, Question, Reasoning, Conclusion, Check.

The situation is the export file, stated in full.

The question asks for the steps, the waiting times and the price per title.

Reasoning Step one: match each date to its step.

Reasoning Step two: count the days between the dates.

Reasoning Step three: price per title and the implied exchange rate.

Conclusion and check: Steps, days and figures agree.

country therefore studies each proposal before it agrees, and it reviews the rules as conditions change.

Before moving on. A multinational company can give a host country jobs, money, skills, taxes and exports. It can also send profit abroad, crowd out local owners, create dependence and lower standards. Governments use laws on ownership, licences, taxes, profits and standards to balance the two.

* * *

A WORKED CASE: MEGHNA AND SONS ORDERS FROM A MULTINATIONAL

This worked case applies the chapter to one supplier record. It has five parts: the situation, the question, the reasoning, the conclusion and a check. Many students find the arithmetic easy and the classification harder, so we take the classification first. GBP means pounds sterling, the money of the United Kingdom.

SITUATION

Case file, illustrative. Supplier record 2026: Larkspur Academic Press (illustrative; London headquarters, subsidiaries in 9 countries) supplies the shop. The trade discount is 35% off list. An order of 400 books at list GBP 20, at an illustrative Tk 150 per GBP, has a list value of Tk 1,200,000 and a price after discount of Tk 780,000.

QUESTION

What kind of company is Larkspur, and how does its list value of Tk 1,200,000 become a price of Tk 780,000? A trade discount is a reduction from the list price that a supplier gives to a business customer who will resell the goods.

REASONING

First we classify. Larkspur is managed from London and has subsidiaries in 9 countries, so it is a multinational company with the United Kingdom as home country. It employs 24 people in Dhaka, so Bangladesh is a host country. Second, we find the list value. Each book lists at GBP 20, so 400 books list at 400 times 20, which is GBP 8,000. At Tk 150 per GBP, GBP 8,000 is 8,000 times 150, which is Tk 1,200,000. Third, we take the discount. The discount is 35 per cent of Tk 1,200,000, which is Tk 420,000. Fourth, we subtract. Tk 1,200,000 minus Tk 420,000 is Tk 780,000.

CONCLUSION

Larkspur is a multinational company, and the shop pays it Tk 780,000 for the order. Dividing by 400 gives Tk 1,950 a book, against a list price of Tk 3,000 a book. The owner of the shop gains from the discount. The prices are fixed in pounds, so the taka cost depends on the rate for converting pounds to taka, which is illustrative here.

CHECK

Check by a second route. A discount of 35 per cent leaves 65 per

The section ends with the main points on effects on a developing country.

A worked case applies the ideas of this chapter to one order from a multinational supplier.

The record gives the supplier, the discount and the order in two kinds of money.

The question asks what kind of company the supplier is and how the price was reached.

Reasoning proceeds in four steps: classify, find the list value, take the discount and subtract.

The shop pays Tk 780,000 for 400 books, which is Tk 1,950 for each book.

A second route to the answer

REVIEW QUESTIONS

13.1 Put these steps of an export in order: shipping the goods, receiving the letter of credit, accepting the order, receiving payment, presenting the documents to the bank. Give a reason for the position of the letter of credit.

13.2 The Kolkata customer wishes to pay by bank transfer after delivery instead of a letter of credit. State one gain and one risk for the exporter.

13.3 A business in Bangladesh wishes to import paper from a supplier in another country. List the steps that the business must follow from registration to the release of the goods.

13.4 A grain trader wishes to move a full cargo by sea. Name the paper that hires the ship and the paper that receipts the goods, and say what each proves.

13.5 An exporter faces a tariff, a standard of quality and a lack of finance. Say which body or measure of Section 13.4 could help with each barrier.

Before moving on. A multinational company owns or controls operations in more than one country and is managed from its home country. A host country is where it operates through a branch or subsidiary. A subsidiary is a company controlled by a parent that owns most of its shares. The managers abroad may come from the home country, the host country or a third country.

* * *

14.2 WHY MULTINATIONALS EXIST

Why would a company take the trouble to build a business in another country? Exporting is easier. The reasons come in several kinds. The first is customers: the home market may be small or crowded, and a new country offers more people to sell to. The second is cost: wages, land or materials may be cheaper in the host country. The third is supply: some materials, such as cotton or minerals, are found only in certain places. The fourth is taxes on imports: a company that cannot send goods across a border cheaply may make them inside it. The fifth is risk: a company with operations in many countries suffers less when one market fails.

The money that a company brings to build or buy these operations has a name. **Foreign direct investment** is money a foreign company invests to build or buy a lasting business in another country. A company that spends money to build a factory in a host country makes foreign direct investment. A person who buys a few shares for a quick sale does not, because no lasting business is built or controlled.

Consider a small example. A company makes shirts, and labour costs it a fixed sum for each shirt at home. In a host country, the same work costs less, and the cotton is grown nearby. The company then makes shirts there and sells them in many countries. Its customers pay less, and its owners earn more profit. Cost alone does not decide the matter, because transport, skills and the rules of the host country also matter. The company weighs every one of them before it commits its money.

Host countries welcome this money for reasons of their own. A developing country usually has more workers than machines, and too little money at home to build every factory it needs. Foreign direct investment brings money, and it also brings skills and methods that the host country may lack. The new operation employs local people, buys materials from local suppliers and pays taxes. It may also sell goods abroad, which earns foreign money. The 24 people that Larkspur employs in Dhaka are a small example. Each of these gains depends on the rules the host country sets, as section 14.3 shows.

Not every proposal succeeds. A host country may refuse a company, or limit what it may do. A company may also decide against a country, because its roads, laws or workers do not suit the business. Both sides have a choice, and each weighs gains against losses.

Before moving on. Companies go abroad for customers, lower costs, supplies, ways around import taxes, and spread of risk.

The section ends with the main points on what a multinational is.

Companies go abroad to reach customers, lower costs and secure supplies.

Foreign direct investment is money for a lasting business, not a quick sale of shares.

Foreign direct investment. Money a foreign company invests to build or buy a lasting business in another country.

A small example shows how lower costs can draw a company abroad.

Host countries gain money, jobs, skills and exports from foreign direct investment.

A host country may refuse or limit a foreign company, and a company may decide against going.

The section ends with the main points on why

Two earlier chapters give the ideas that this chapter builds on.

The same names appear on shop signs in many countries, though their owners live far away.

A business from one country that operates in another raises the question of whose business it is.

A business can reach customers abroad by crossing the border itself.

A multinational company is a business that operates in more than one country.

Recall: joint stock company, Chapter 9 'The Joint Stock Company', section 9.1 'What a Company Is'.

Multinational corporation. A company that owns or controls operations in more than one country, managed from a home country.

Control. Word in use. In daily life, to make something obey, or the switch that works a machine. In business, the power to decide how a company is run, usually gained by owning most of its shares.

An exporter keeps its operations at home, but a multinational company crosses the border itself.

Recall: foreign trade, Chapter

YOU WILL NEED

Chapter 12 'Foreign Trade', section 12.1 'Why Nations Trade'; Chapter 9 'The Joint Stock Company', section 9.1 'What a Company Is'.

Walk along a busy street in any large city of the world, and you may see the same names on the shop signs: the same soft drink, the same sports shoes, the same mobile network. The signs look alike in Dhaka, Nairobi and Lima. Yet the businesses behind them began in other places, and their owners often live far away.

Here is the puzzle. When a business from one country opens an operation in another, whose business is it? It employs local people, pays local taxes and sells to local customers. Yet its decisions may be made in an office thousands of kilometres away, and its profit may travel there too. Is it a guest that brings gifts, or a competitor that takes the market? Different people give different answers, and each can give reasons.

Chapter 12 explained how goods and services cross borders as exports and imports. There is a second way to reach customers abroad. Instead of sending goods across the border, a business can cross the border itself, and build or buy a business on the other side. This chapter studies the companies that do so. It asks what they bring to a developing country like Bangladesh, and what they may take away.

* * *

14.1 WHAT A MULTINATIONAL IS

A baker who sells bread in two towns of one country is not a multinational. A **multinational corporation** is a company that owns or controls operations in more than one country, managed from a home country. A shoe company with its head office in one country and its own factories in three others is a multinational. The word *corporation* here names the same kind of business as *company*, so we write multinational company from now on. The home country is the country of the head office, and the next paragraphs explain it. Chapter 9 explained the joint stock company, and most multinational companies are of that kind.

How does a multinational company differ from a business that only exports? An exporter makes its goods at home and sends them across the border to customers abroad. All of its operations stay in one country. A multinational company crosses the border itself. It

FURTHER READING

Adam Smith, *The Wealth of Nations*, 1776
Alfred D. Chandler Jr., *The Visible Hand*, 1977
Alfred Marshall, *Principles of Economics*, 1890
David E. Lilienthal, *TVA: Democracy on the March*, 1944
David Packard, *The HP Way*, 1995
Henry Ford with Samuel Crowther, *My Life and Work*, 1922
Ida M. Tarbell, *The History of the Standard Oil Company*, 1904
International Chamber of Commerce, *Uniform Customs and Practice for Documentary Credits*, 2007
Jones, Geoffrey, *Multinationals and Global Capitalism*, 2005
Joseph de la Vega, *Confusion of Confusions*, 1688
Michael E. Porter, *Competitive Strategy*, 1980
Paul Frentrop, *A History of Corporate Governance, 1602-2002*, 2003
R. Edward Freeman, *Strategic Management: A Stakeholder Approach*, 1984
Ricardo, David, *On the Principles of Political Economy and Taxation*, 1817
Smith, Adam, *An Inquiry into the Nature and Causes of the Wealth of Nations*, 1776
Vernon, Raymond, *Sovereignty at Bay*, 1971

16.4 A takeover. The buyer controls the main decisions of the second company, which continues to exist; a buyer that holds shares in several companies in this way acts as a holding company.

16.5 Lower cost appears in the Tk 360,000 yearly rent saving. The payment of the price of Tk 1,800,000, and whether the customers and staff of Padma Stationers would stay, need more facts.

The earlier chapters that this chapter builds on.

Two rival bookshops on one lane open a question about competition.

The owner of one shop offers to buy the other, and three questions follow.

The answers differ because each person sees the event from a different place.

Merchants, and then governments, have asked this question in every age.

A business combination is two or more businesses joined under one control.

Business combination. Two or more businesses joining under common control, in order to gain strength or reduce competition.

Combination. Word in use. In daily life, a mix of things, such as the numbers that open a lock. In business, the joining of separate businesses under common control.

Common control means one person or group makes the main decisions.

Control. Word in use. In daily life, to hold something in check, as a driver controls a bus. In business, the power

You will need Chapter 9, 'The Joint Stock Company', section 9.1 'What a Company Is' (company ownership and shares); Chapter 15, 'Institutions that Promote Business in Bangladesh', section 15.1 'The Share Market' (how shares are bought and sold); and Chapter 12, 'Foreign Trade', section 12.1 'Why Nations Trade' (the ideas behind trade between countries).

Imagine a lane in Dhanmondi, Dhaka, with two bookshops facing each other. Both sell school textbooks and stationery. Both pay rent and wages, and both order many of the same titles from the same suppliers. Each owner watches the other's window every morning and lowers a price whenever the other does.

One day the owner of the first shop offers to buy the second. If the offer is accepted, the competition on the lane ends. Three questions follow. What does the buying owner gain? Why might the selling owner agree? And what do the customers on the lane gain, or lose?

The answers are not the same for everyone. One customer may welcome a wider range of books under one roof. Another customer may fear higher prices, because no rival window now forces them down. A shop assistant may ask only one thing: will my job remain? Each person sees the same event from a different place, and each sees something true.

Merchants in every age and country have asked this question. Some joined their businesses by agreement, some by purchase, and some by the force of money. Governments have asked in turn whether such joining serves the public or harms it. In this chapter you will learn the names of the main ways of joining, the reasons behind them, and a method for weighing gain against danger. Other books say firm, enterprise or concern for what this book calls a business; we use business throughout.

* * *

16.1 WHY FIRMS COMBINE

Return to the two bookshops on the lane. If one owner buys the other shop, the two shops become one business. Business study has a name for this kind of joining: **business combination**. A business combination means two or more businesses joining under common control, in order to gain strength or reduce competition. The two bookshops under one owner are a small example. A group of fifty shops that keep separate names but answer to one owner is a larger one.

The phrase *common control* carries the whole idea, so we examine it. Control means the power to decide the main matters of a business: what it sells, whom it employs and how it spends money. Before the joining, two owners decide these matters separately. After it, one owner, or one group of owners, decides for both. This

risk that remains is that the papers may not match the letter, so the bank may refuse.

13.t1 The exporter asks the customer to amend the letter or corrects the invoice, then presents the papers again before the time limit ends. The exporter bears the delay and its costs, because the error was in the exporter's paper.

13.t2 Reason to accept: the customer may be reliable and the sale may be large. Reasons to refuse: the exporter then has no bank promise of payment, and the customer may fail to pay.

13.1 Accepting the order; receiving the letter of credit; shipping the goods; presenting the documents to the bank; receiving payment. The letter comes before shipping so that payment is promised before the goods leave.

13.2 Gain: less cost and paperwork. Risk: the exporter has no bank promise and must trust the customer to pay after the goods have been delivered.

13.3 Register as an importer and obtain any licence; send an indent to the supplier; ask the bank for a letter of credit; receive the goods and the papers; complete customs clearance and pay duty; collect the goods.

13.4 A charter party hires the ship; it proves that the ship was hired. A bill of lading receipts the goods; it proves loading, states the terms of carriage and shows who may claim the goods.

13.5 Tariff: government talks and information from the Export Promotion Bureau. Standard of quality: training in quality for exporters. Lack of finance: export finance through banks and Bangladesh Bank.

CHAPTER XIV · MULTINATIONAL CORPORATIONS

14.p1 The home country is Canada, where the headquarters stands. The host countries are Bangladesh and Kenya, where the company operates through a factory and a shop.

14.t1 Gains: jobs for 500 people and the wages they earn; money, skills and taxes that the company brings. Losses: profit sent to the home country; fewer chances for local managers; possible harm to local garment businesses.

14.t2 Two examples: a rule that the company train local managers, which protects local employees' chances to rise; and a rule that it meet standards for safety and pay, which protects workers and the environment. Other sensible conditions are accepted, if the protection is named.

14.1 Gains: jobs, money for building, skills, taxes, exports, better goods for customers (any three). Losses: profit sent abroad, strong competition for local owners, dependence on decisions made abroad, lower standards where the law is weak (any three).

14.2 No. A host country is one where the company operates through a branch or subsidiary. Shipping books from London is exporting, and Larkspur would control no operation in Bangladesh.

opportunity has a threat beside it, and the customer's viewpoint can differ from the owner's.

16.2 FORMS OF COMBINATION

Owners who have decided to join must still decide how. Some forms end one business completely. Others leave each business alive while one owner or group controls them all. The table below sets six forms side by side. Read each row from left to right: the form, what happens, and what remains of the separate businesses. The paragraphs after the table explain each form in turn.

SIX FORMS OF COMBINATION

FORM	WHAT HAPPENS	DO THE BUSINESSES STAY SEPARATE?
Merger	One company absorbs another	No: only one remains
Takeover	A buyer gains most of a company's shares	Yes, but the buyer controls it
Consolidation	Two or more companies end and a new one begins	No: a new company replaces them
Holding company	One company owns enough shares in others to control them	Yes: each keeps its own name and legal life
Cartel	Independent businesses agree on prices or output	Yes: each stays independent
Trust	Owners give their shares to trustees who run the group	Yes in law, no in control

A merger is a combination in which one company absorbs another.

Merger. A combination in which one company absorbs another and only one remains.

An acquisition is buying a business; a takeover is buying most of a company's shares.

Recall: Share market, Chapter 15, section 15.1 'The Share Market'.

Takeover. Gaining control of a company by buying most of its shares.

In consolidation, the old companies end and a new company begins.

A **merger** is a combination in which one company absorbs another and only one remains. To absorb means to take in completely. Suppose a company named Alpha Books absorbs a company named Beta Stationers. Beta's shops, stock and staff now belong to Alpha, and the name Beta ends. The directors of both companies usually agree to a merger, and the owners of each company vote on it. Many countries add legal steps, such as approval by a court or a public authority, so the law of the country concerned must always be checked.

An acquisition means buying a business, or enough of it, to control it. A buyer may acquire the shop, the stock and the name of a business owned by one person. This is the form that Meghna and Sons proposes in the case file. When the business is a company, the buyer may buy its shares instead. This is a **takeover**: gaining control of a company by buying most of its shares. A takeover is friendly when the directors of the company agree. It is hostile when they refuse and the buyer appeals directly to the shareholders. A company whose shares are traded on a stock exchange is easier to acquire in this way, because any investor can buy its shares.

Consolidation is different from a merger. In a merger one company survives. In consolidation, two or more companies end together, and a new company begins in their place, owning

9.5 Owners (shareholders) and controllers (directors and managers) may be different people with different aims. Meetings, published accounts and independent checks of the accounts reduce the risk.

CHAPTER X · THE COOPERATIVE SOCIETY

10.p1 Open membership protects the right of anyone with the need to join. One member one vote protects equal voice, so wealth cannot buy control. (Control by members, fair sharing and education are also correct.)

10.t1 $2,400,000 \times 0.09 = \text{Tk } 216,000$. $216,000 \div 10,000 = 21.6$ times the cost of the shares.

10.t2 With limited liability the most it can lose on shares is $25 \times 1,000 = \text{Tk } 25,000$. It still has one vote, because each member has one vote whatever the number of shares held.

10.t3 The farmers could collect, grade and store their jute and sell the large amount together, so they gain bargaining power and a better price. A risk is poor management, or members selling to the trader instead of the society.

10.t4 Helpful: limited liability and the trust of members. Limiting: the society may raise little money, since members are poor and share holdings are restricted, and decisions may be slow. The bakers might consider a company, which can raise more money from many shareholders.

10.1A A cooperative society is a business owned and run by members who join to meet a common need, each with one vote. Example: thirty families who own the flour shop they buy from.

10.2 Purpose: a cooperative serves members; a company seeks a return for shareholders. Voting: one vote per member; votes in a company follow shares held. Return: surplus shared by use; profit paid by shares. Liability: limited in both, usually to the money paid for shares.

10.3 Open membership protects the right of anyone with the need to join. One vote per member protects equal voice. Fair sharing of the surplus protects members from outside owners taking the gain. (Control by members and education are also correct.)

10.4 Consumer: buyers who want fair prices. Producer: makers who want shared work and income. Marketing: growers who want better prices for their crops. Credit: savers and borrowers who want fair loans from shared savings.

10.5 The members form the general meeting and vote there. The meeting elects the management committee. The committee directs the society and reports to the members, so authority returns to where it began.

10.6 A surplus is what remains after costs, shared among members instead of paid to outside owners. Uses: a reserve for future losses and growth; a dividend in proportion to use; interest on shares; spending on education or the community.

CHAPTER XI · STATE ENTERPRISE AND COMPARING THE FORMS

11.1 A public corporation is a company whose shares are owned by the state.

16.3 HORIZONTAL AND VERTICAL INTEGRATION

Horizontal integration joins businesses at the same stage of one product.

Horizontal integration. Combining firms at the same stage of making or selling the same kind of product.

Vertical integration joins businesses at different stages of one product.

Vertical integration. Combining firms at different stages of making and selling one product, such as printer and bookseller.

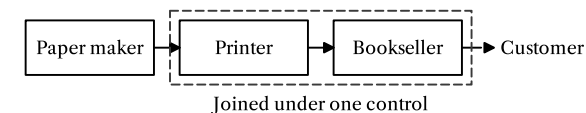
The figure shows the two kinds of joining as two chains.

Forms describe how businesses join. Integration describes which businesses join. **Horizontal integration** means combining firms at the same stage of making or selling the same kind of product. Meghna and Sons and Padma Stationers both sell books and stationery to customers, so they stand at the same stage. Joining them is horizontal. Its opportunity is lower cost and a larger share of the market. Its threat is less choice for customers.

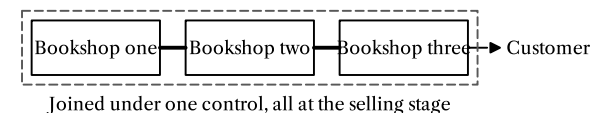
A book passes through several hands before a customer reads it: the paper maker, the printer, the bookseller. **Vertical integration** means combining firms at different stages of making and selling one product, such as printer and bookseller. A bookseller that buys a printer moves toward the source. A printer that opens bookshops moves toward the customer. Its opportunity is a secure supply and the profit of each stage. Its threat is being tied to one's own supplier even when another is cheaper.

The figure below shows both kinds as chains. Each box is one stage, and each arrow shows the product moving toward the customer. A dashed outline marks businesses under one control. In the top chain the outline spans two different stages. In the bottom chain it spans three businesses at the same stage.

Vertical: different stages of one product



Horizontal: same stage of one product



Dashed outline: businesses under one control. Arrow: product moves toward

FIG. 16.1. *Horizontal and vertical combination as two chains*

Horizontal integration raises a question about power. When two of three bookshops on a lane join, one owner now controls two thirds of the shelf space for textbooks. Customers have one rival left to compare. When the last rival joins, customers have no comparison at all, and the owner may raise prices without losing sales. This is why laws watch horizontal combinations most closely.

Vertical integration raises a different question: fair access. If a printer owns the only bookshops in a town, other printers may find no place to sell, and other booksellers may find that the printer will not supply them. Customers may then see only one maker's books. Owners answer that vertical integration lowers cost

Horizontal integration raises the question of market power.

Vertical integration raises the question of fair access.

6.2 Prompt payment: suppliers. Honest accounts: owners and lenders. A safe workplace: employees. Truthful labels: consumers. Care with waste water: the community.

6.3 For: the business depends on society and affects it; responsible conduct builds goodwill and survival. Against: profit within the law is the owners' aim; a manager should not spend the owners' money on social aims; governments, not businesses, care for society.

6.4 The customer buys; the consumer uses. A father who buys milk is the customer, and the child who drinks it is the consumer.

6.5 Sustainability is running a business so that it meets today's needs without harming later generations' ability to meet theirs. Example: a paper maker that cuts trees without replanting.

6.6 The supplier delivered first and must wait for money it has earned, so late payment is borrowing without permission; it also damages trust, even where the law is silent.

CHAPTER VII · FORMS OF BUSINESS OWNERSHIP AND THE SOLE PROPRIETORSHIP

7.p1 Tk 300,000. The debt of Tk 800,000 less the Tk 500,000 held by the business leaves Tk 300,000 for the owner to pay from personal wealth.

7.t1 New total debts: Tk 1,150,000. New ratio: $1,150,000 \div 4,100,000 = 0.28$ (to two decimal places), assuming capital stays at Tk 4,100,000.

7.t2 The owner alone bears the loss of Tk 750,000. Unlimited liability adds that if the loss left debts the business could not pay, he would have to pay them from personal wealth.

7.t3 He must repay the Tk 2,000,000 from personal wealth if the farm cannot, which may mean selling land or savings. Before borrowing he could have borrowed less, saved a reserve, bought insurance for the crop, or chosen a form with limited liability.

7.t4 Helpful: full control, quick decisions, all profit. Limiting: unlimited liability across five shops, her own time, and the money one person can raise. She might consider other owners or another form, taught in later chapters.

7.1 Sole proprietorship, partnership, company and cooperative society are in the private sector. State enterprise is in the public sector.

7.2 Full control, so decisions are quick; all profit, so effort is rewarded; easy and cheap to begin; few legal steps; close contact with customers.

7.3 Unlimited liability means the owner must pay the business's debts from personal wealth if the business cannot, with no upper limit. Example: a business owes Tk 500,000 but holds Tk 200,000, so the owner finds Tk 300,000.

7.4 A barber's shop needs little money and personal attention, which one owner can provide. A power station needs very large sums and many skills, which one person cannot provide.

7.5 A trade licence is official permission from a local authority to

The check repeats the arithmetic.

The summary gathers the chapter in a few lines.

A baker buys the flour mill that supplies her bakery.

A merger and a takeover are not the same.

Combination does not always harm customers.

A holding company owns shares; it does not run each shop.

Vertical does not mean joining rivals.

A combination is not harmful by size alone

facts: how the price will be paid, how many customers and staff of Padma Stationers will remain, and whether any competition law applies.

Check. Tk 14,400,000 plus Tk 6,000,000 equals Tk 20,400,000, as in the case file. Five years of saving, 5 times Tk 360,000, equals Tk 1,800,000, which is the price. A profit of Tk 750,000 multiplied by 2.4 also equals Tk 1,800,000.

* * *

SUMMARY

A business combination joins two or more businesses under common control, to gain strength or reduce competition. Owners combine for lower cost, buying power, less rivalry, safety, growth and skill. Each opportunity has a threat. The forms are merger, takeover, consolidation, holding company, cartel and trust. They differ in what survives and who controls. Horizontal integration joins the same stage; vertical integration joins different stages; a conglomerate joins unrelated trades. Every combination should be weighed from the owner's, the employee's and the customer's viewpoint, and under the law of the country concerned.

THINK IT THROUGH

A baker in a town buys the flour mill that supplies her bakery. Before the purchase, the mill sold flour to her and to eight other bakers in the same town.

16.T1 Is this combination horizontal or vertical? Give a reason from the positions of the bakery and the mill in the chain.

16.T2 Name one opportunity for the baker, one threat for the baker, and one threat for the eight other bakers.

WHERE PEOPLE GO WRONG

A merger and a takeover are the same thing. They are not. In a merger one company absorbs another and only one remains. In a takeover the buyer gains most of the shares, and the company bought can continue to exist under its own name.

Every combination is harmful or unlawful. This is false. Many combinations lower costs and prices, and many are lawful. Laws usually aim at combinations that remove competition and harm customers.

A holding company runs every business in the group. It owns enough shares to control them. The companies remain separate legal bodies, and each keeps its own name and accounts.

Vertical integration joins competitors. It does not. Competitors stand at the same stage, so joining them is horizontal. Vertical integration joins businesses at different stages, such as printer and book-seller.

A bigger business always has lower prices. This is not certain. Size

3.4 Any three, each with a reason. Examples: a product customers want (fresh flowers of good quality from a reliable supplier); planning and foresight (order more stock before busy times, since flowers do not keep); goodwill (customers return if the flowers last); sound finance (do not buy more than can be sold, and pay the supplier on time).

3.5 Raise sales by 10%: economic. Pay a monthly bonus: human. Give leftover cloth to a girls' school: social. Open a second counter: economic (growth).

3.6 Every other aim needs the business to exist. A business that cannot cover its costs year after year stops, so it can pay no wages, serve no customers and give no gifts.

3.7 Borrowed money must be repaid with interest, and new branches cost money before they earn, so the café may be unable to pay its bills (sound finance). Fast growth may also spread attention thin, so service falls and goodwill suffers.

3.8 Goodwill is earned by honest dealing and good service over years. It is lost by one act of dishonesty or poor treatment. It is worth money because customers return, and a buyer of the business would pay more for a business whose customers return.

CHAPTER IV · CHOOSING WHERE A BUSINESS STANDS

4.p1 The bakery. Bread spoils within hours, so it must reach customers quickly. Bricks do not spoil, so a brick works can stand nearer its clay.

4.t1 Mirpur. Its rent of Tk 38,000 is the lowest of the three, and its rent per square foot, Tk 54.29, is also the lowest.

4.t2 $40,000 \div 800 = \text{Tk } 50.00$ per square foot, which is below Mirpur's Tk 54.29, so Uttara now wins on rent per square foot. Footfall per Tk 1,000 of rent is $380 \div 40 = 9.50$, below Mirpur's 13.68, so Mirpur still leads on that measure.

4.t3 Most important: a supply of skilled workers, reliable electricity and a stable internet link. Least important: nearness to raw material and footfall, because the office makes no heavy goods and sells to customers at a distance.

4.t4 The owner weighs the cost of moving (a new lease or building, and moving equipment), the goodwill that may be lost if customers do not follow, and the effect of the new road on sales income. These are set against lower cost on the cheaper land and the shared services of the estate.

4.1 Plant location is the place where a business builds its factory or opens its shop, chosen by weighing several factors. Example: a bookshop that chooses a busy street in Dhaka because many people pass its door.

4.2 A site is a fixed commitment because leaving it costs money and time. A business may lose customers who knew the old address, and with them some goodwill; it may also lose a lease or a building it has already paid for.

4.3 A reasonable order: nearness to customers, power, labour, land

ANSWERS TO QUESTIONS

CHAPTER I · WHAT BUSINESS IS

1.p1 The café. The definition asks for goods or services provided to others in exchange for money, and the café is paid by strangers; the neighbour provides lunch only to her own family and receives no money.

1.p2 An aid to trade, because it carries goods for shops and does not buy, sell or make them. As an aid to trade it belongs to commerce.

1.t1 Before: the tailor makes shirts, which is manufacturing industry, and sells them, which is trade. After: the tailor also buys ready-made shirts and sells them in a second shop, so trade grows. The factory that supplies the shirts is manufacturing industry, and transport, banking and insurance may be needed as aids to trade.

1.t2 Yes. The definition says aiming to earn a profit, not always earning one. A bakery that sells bread to customers for money and aimed at profit is a business, although this year it has a loss.

1.1 Trade, which is part of commerce. The aids to trade used were banking (the bank), transport (the courier) and insurance.

1.2 (a) Industry, extractive. (b) Trade. (c) An aid to trade (transport). (d) Industry, manufacturing. (e) An aid to trade (banking). Items (b), (c) and (e) belong to commerce, because commerce is trade together with its aids.

1.3 It would enter manufacturing industry, because printing notebooks makes finished goods. It would still be in trade as well, because it would continue to buy and sell books and stationery.

1.4 Example answer: a mobile phone is a good, and repairing the phone is a service. A good is a physical thing the customer owns afterwards; a service is work done for the customer, and no physical thing remains to own.

1.5 Likely aids: transport, to bring vegetables from farm to market (removes distance); banking, to hold the stall's money (removes risky handling of money); insurance, if the stall insures its stock (removes risk of loss). Advertising and warehousing may also apply.

1.6 $\text{Income} = 50 \times \text{Tk } 25 = \text{Tk } 1,250$. $\text{Costs} = 50 \times \text{Tk } 20 + \text{Tk } 100 = \text{Tk } 1,000 + \text{Tk } 100 = \text{Tk } 1,100$. $\text{Profit} = \text{Tk } 1,250 - \text{Tk } 1,100 = \text{Tk } 150$.

1.7 Growing cotton: extractive industry. Spinning, weaving and sewing: manufacturing industry. Selling the shirt in a shop: trade. Aids to trade could be transport (carrying shirts), banking (payments), insurance (stock) or advertising.

1.8 Any four of: exchange for money, regular dealing, aim of profit, risk, satisfying customers' needs. Risk is a characteristic because profit is not certain, and a business can make a loss.

CHAPTER II · FACTORS OF PRODUCTION

2.p1 The kettle is capital, because people made it. The river water and the corner of pavement are land, because nature supplied them.

Cooperative principle. A basic rule of cooperatives, such as open membership, one vote per member and fair sharing of what remains after costs. The rules guide how the society is run. Example: a society that admits any family in the town, whatever its wealth, follows the rule of open membership. (*Chapter X*)

Cooperative society. A business owned and run by members who join to meet a common need, each with one vote. It exists to serve its members and not to enrich outside owners. Example: thirty families who own the flour shop they buy from. (*Chapter X*)

Customs clearance. The official checking of goods at a border and the payment of any duty before they are released. Duty is a tax charged on goods that cross the border. Example: printing paper is released to the importer only after the customs office has checked it and the duty is paid. (*Chapter XIII*)

Departmental undertaking. A state enterprise run directly as part of a government department. The minister is responsible, the money comes from the government budget and the staff are government employees. It has no separate existence in law, so the government itself answers for its debts. (*Chapter XI*)

Dissolution. The formal ending of a partnership, or of a company, after which it no longer operates as before. A partnership may be dissolved by agreement, compulsorily, on a stated event, by notice or by a court. Afterwards the partners settle the accounts in a fixed order. (*Chapter VIII*)

Division of labour. Splitting a job into small tasks so that each worker repeats one task and becomes faster. Two workers, one folding and one gluing paper bags, make more bags than two workers who each do both tasks. (*Chapter II*)

Economic objective. An aim that can be measured in money, such as profit, sales or market share. Market share is the part of all sales in one area that a single business wins. If a shop receives Tk 200,000 of Tk 1,000,000 spent on books in a town, its share is 20%. (*Chapter III*)

Enterprise. The act of organising the other factors and accepting the risk of loss in the hope of profit. Profit is its reward, and unlike rent, wages and interest it is not agreed in advance. (*Chapter II*)

Environment. All the forces and conditions, inside and outside a business, that affect how it operates. It includes staff, prices, laws and machines as well as weather. The shop's environment includes its seven staff and an online seller's price cut. (*Chapter V*)

Exchange rate. The price of one country's money measured in another country's money. At an illustrative rate of Tk 120 per US dollar, USD 10 equals Tk 1,200. Rates change from day to day, so the taka price of an import can change even when the foreign price stays the same. (*Chapter XII*)

Export. A good or service sold to a buyer in another country. The seller earns foreign money. Tea is a visible export, and a hotel room paid for by a foreign visitor is an export of a service. The same sale is an import for the country that buys. (*Chapter XII*)

little more than its costs may share the remainder by reserve, dividend and interest on shares. (*Chapter X*)

Survival. A business's ability to keep operating by covering its costs year after year. A business that earns less than its costs spends the money it started with and must close when that money is gone. Profit is the sign of survival. (*Chapter III*)

Sustainability. Running a business so that it meets today's needs without harming the ability of later generations to meet theirs. Example: a paper maker that plants a tree for each tree it cuts can continue for many years, but one that does not replant may exhaust its supply. (*Chapter VI*)

Takeover. Gaining control of a company by buying most of its shares. The company bought usually continues to exist. It is friendly if its directors agree and hostile if they refuse. Example: a buyer holds most of the shares of a bakery company. (*Chapter XVI*)

Tariff. A tax charged on imported goods, which raises their price. The importer pays it at the border and usually passes it to customers. With a tariff of 10 per cent, shoes costing Tk 2,000 at the port cost Tk 2,200 after the tax. (*Chapter XII*)

Trade. The buying and selling of goods, carried out to earn a gain from the difference in price. A trader does not make the goods but brings them from the maker to the customer. Buying a notebook at Tk 40 and selling it at Tk 50 is trade. (*Chapter I*)

Trade licence. Official permission from a local authority to carry on a stated trade in a stated place. Example: a bookseller in Dhaka holds a licence naming the trade, books, and the address of the shop, and must renew it each year. (*Chapter VII*)

Unlimited liability. A duty on the owner to pay the business's debts from personal wealth if the business cannot pay them. There is no upper limit. Example: a business owes Tk 500,000 and holds Tk 200,000, so the owner must find Tk 300,000. (*Chapter VII*)

Vertical integration. Combining firms at different stages of making and selling one product, such as printer and bookseller. It moves toward the source of supply or toward the customer. Example: a bookseller that buys a printer. (*Chapter XVI*)

Initial public offering. The first time a company sells its shares to the public, so that they can later be traded. It happens once and takes place in the primary market. The price has a face value and a premium. Example: a family company that offers shares to strangers for the first time. (*Chapter XV*)

Internal environment. Forces within the business that it can control, such as its staff, resources and rules. The owner can change opening hours or how stock is recorded, so these belong to the internal environment. (*Chapter V*)

Investor. A person who puts money into a business expecting to receive a return, such as a share of profit or interest. Example: a person who buys a share in a company, or a bank that lends money to a shop. (*Chapter VI*)

Joint stock company. A business whose capital is divided into equal parts, owned by many people, and treated by law as a person separate from them. It owns property, makes contracts and continues when owners change. Example: a bakery owned by two hundred people. (*Chapter IX*)

Labour. The physical and mental work people give to a business, paid for with wages. A shop assistant who lifts boxes and advises customers gives both kinds of work. Wages are the reward of labour. (*Chapter II*)

Land. All natural resources a business uses, including ground, water, minerals and forests. Nature provides land; people do not make it. Its reward is rent, such as the rent of a shop space. (*Chapter II*)

Letter of credit. A bank's written promise to pay an exporter on the customer's behalf once stated documents are presented. The bank pays only if the papers match the letter in every detail. Example: a Kolkata bank promises to pay a Dhaka bookseller when the invoice and bill of lading arrive. (*Chapter XIII*)

Limited liability. A rule that owners of a company lose, at most, the money they paid for their parts, never their personal wealth. The company's debts belong to the company. Exceptions include personal guarantees signed by owners and fraud. Example: a failed company cannot take its owners' houses. (*Chapter IX*)

Manufacturing industry. Business that turns materials into finished goods by making or assembling them. Making means shaping materials, as a potter shapes clay. Assembling means joining ready-made parts, as a workshop joins wheels, frame and chain to form a bicycle. (*Chapter I*)

Marketing cooperative. A cooperative that sells its members' products together to obtain better prices. Example: a hundred small jute farmers who collect, grade and sell their crop together can bargain with many buyers instead of accepting one trader's price. (*Chapter X*)

Memorandum of association. The founding document stating a company's name, objects, registered office, liability and share capital. The objects are its purposes; the registered office is its official address. It describes the company's external relations with the world.

G**Goodwill**, 25–26, 28–29, 33, 46–47, 49, 53–54, 58, 64**H****Home country**, 132–139**Horizontal integration**, 156–158**Host country**, 133–139**I****Import**, 16, 33, 36, 39, 45, 49, 52–54, 64, 68, 76, ...**Industrial estate**, 36, 38**Industry**, 4–10, 102–103, 109, 112–113, 129, 138, 145–146, 148**Initial public offering**, 143–144, 148**Internal environment**, 42–43, 46–48, 56**Investor**, 56, 58, 78, 89–90, 103, 107, 109, 144–149, 154**J****Joint stock company**, 79, 82, 92, 102, 132–133, 142–144, 152**L****Labour**, 12–19, 25, 35–36, 38, 119, 135, 138**Land**, 6, 12–13, 15–19, 25, 28, 32–33, 35–39, 54, 64, 112–113, ...**Letter of credit**, 122–130**Limited liability**, 66, 83–84, 87–89, 95–98, 104, 133, 143–144, 155**M****Manufacturing industry**, 6–7, 10**Marketing cooperative**, 94, 96, 98**Memorandum of association**, 86**Merger**, 154–155, 157–159**Multinational corporation**, 132**Mutual agency**, 73–75, 78–79**N****Nationalisation**, 102–103, 106, 108**O****Objective**, 22–25, 27–29, 32–33, 36–38, 42–43, 47, 52, 62–63**P****Partnership**, 10, 63, 72–79, 82–83, 86, 89–90, 102, 107**Partnership deed**, 73–74, 78**Plant location**, 32–33, 38–39**Private limited company**, 84–85, 88–89**Private sector**, 62–64, 67–68, 72, 102, 108**Profit**, 3–4, 8–10, 15–18, 22–29, 33, 43, 52–54, 56–59, 62, 64–67, ...